



East African Cables
Connecting lives

2014
ANNUAL REPORT
& FINANCIAL
STATEMENTS

CELEBRATING

50
YEARS



OUR VISION

To be the leading and preferred provider of cabling solutions.

OUR MISSION

To be a dynamic company committed to exceeding customer expectation and increasing our market share through the provision of high quality products and services.

OUR CORE VALUES

- Employees and customer safety comes first.
- Being ethical acting with respect, integrity, fairness and care in our dealings with all our partners.
- Pride in what we do and continuously pursuing maximum productivity in a safe environment.
- Getting it right the first time and consistently pursuing excellence.
- Freedom with responsibility and accountability in all we do.



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NOTICE OF THE ANNUAL GENERAL MEETING

Notice is hereby given that the fiftieth Annual General Meeting of the shareholders will be held at East African Cables Limited premises on Kitui Road, off Enterprise Road, Industrial Area, Nairobi, on Thursday, 30th April, 2015 at 11.00 a.m. for the following purposes:

1. To receive and if approved, adopt the Group's audited financial statements for the year ended 31st December, 2014 together with the Chairman's, Directors' and Auditors' reports thereon.
2. To approve the Directors' remuneration as provided in the accounts for the period ended 31st December, 2014.
3. To approve the payment of a final dividend of 100% representing Kshs 0.50 per ordinary share.
4. To elect Directors:
 - (i) In accordance with the Company's Articles of Association Mr. M.G. Waweru and Dr. G. Kiuna retire by rotation and being eligible offer themselves for re-election at the forth coming Annual General Meeting.
 - (ii) Mr. Bruno Thomas who is over the age of 70 years retires as a director of the Company in line with section 186 of the Companies Act Cap 486. The Board proposes for his re-appointment to the Board under section 186(5) of the Companies Act.
5. To appoint the auditors for the ensuing year and to authorize the Directors to fix their remuneration.
6. To transact any other business which may be properly transacted at an Annual General Meeting.

BY ORDER OF THE BOARD

Virginia Ndunge

Company Secretary
P. O. Box 40111
00100 Nairobi GPO

10th February, 2015

Notes:

1. A member entitled to attend and vote is entitled to appoint a proxy to attend and vote on his/her behalf and such a proxy need not be a member of the Company. To be valid, proxy forms must be deposited at the Registered Office of the Company not less than 48 hours before the appointed time of the meeting. The proxy form may be obtained from the Company's website www.eacables.com
2. In accordance with Article 146 of the Company's Articles of Association, a copy of the entire Annual Report and Financial Statements may be viewed and/or downloaded from the Company's website www.eacables.com

TANGAZO LA MKUTANO MKUU WA KILA MWAKA

Mnatangaziwa kwamba mkutano mkuu wa hamsini wa mwaka, wa wenye hisa, utafanyika katika majengo ya kiwanda cha East African Cables, yaliyopo Kitui road, eneo la viwandani, Nairobi, Alhamisi, tarehe 30 Aprili 2015 kuanzia saa tano asubuhi, kujadili mambo yafuatayo:

1. Kupokea, na iwapo itakubaliwa, kuidhinisha ripoti iliyokaguliwa ya kifedha ya kampuni ya kipindi cha matumizi ya pesa kilichokamilika tarehe 31 Disemba 2014, pamoja na ripoti ya Mwenyekiti, ile ya Wakurugenzi na ile ya Wakaguzi wa mahesabu, zitakazofuatia.
2. Kuidhinisha ujira wa Wakurugenzi kama ilivyopendekezwa katika mahesabu ya kipindi cha matumizi ya pesa kilichokamilika tarehe 31 Disemba 2014.
3. Kuidhinisha kulipwa kwa gawio la mwisho la asilimia mia moja (100%) inayowakilisha Senti hamsini kwa kila hisa ya kawaida.
4. Kuchagua wakurugenzi:
 - (i) Kulingana na kanuni za kampuni, Bw M.G. Waweru na Dr G. Kiuna hustaafu kwa zamu, na kwa kuwa wanaweza kuchaguliwa tena, wamejitolea kuchaguliwa upya katika mkutano huu mkuu wa mwaka.
 - (ii) Bw Bruno Thomas ambaye ana zaidi ya miaka 70 anafaa kustaaifu kulingana na kifungu cha 186 cha sheria za kampuni. Bodi ya wakurugenzi hata hivyo inapendekeza ateuliwe tena katika bodi hiyo kwa mujibu wa kifungu cha 186(5) cha sheria za kampuni.
5. Kuteua wakaguzi wa mahesabu wa mwakani na kuwapa idhini wakurugenzi kuweka ujira wao.
6. Kuendesha shughuli nyingine yoyote inayoweza kushughulikiwa katika mkutano mkuu wa mwaka.

KWA AMRI YA BODI

Virginia Ndunge

Katibu
P. O. Box 40111
00100 Nairobi GPO

10 Februari, 2015

Maelezo:

1. Mwanachama mwenye haki ya kuhudhuria mkutano na kupiga kura vilevile ana haki ya kuteua mwakilishi wake ili kuhudhuria mkutano na kupiga kura kwa niaba yake. Si lazima mwakilishi huyo awe mwanachama wa kampuni. Ili kuhalalishwa, fomu za uwakilishi lazima ziwasilishwe katika ofisi iliyosajiliwa ya kampuni katika kipindi kisichopungua saa 48 kabla ya muda uliotengwa kwa mkutano. Fomu ya uwakilishi inaweza kupatikana kwenye tovuti ya kampuni: www.eacables.com
2. Kulingana na kifungu cha 146 cha kanuni za kampuni, nakala ya Ripoti nzima ya mwaka pamoja na Taarifa za Kifedha zinaweza kusomwa na/au kutolewa nakala kwenye tovuti ya kampuni: www.eacables.com

BOARD OF DIRECTORS



Mr Zephaniah Gitau Mbugua (65)

Chairman of the Board

Mr. Mbugua is a graduate of Makerere University with a BSc in Chemistry and Mathematics. He is a successful serial entrepreneur, developing business and partnerships across Africa for the last 36 years. He is the founder member and chief Executive Officer of Abcon Group a holding company with varied business interest. He is also a director of Proctor & Allan EA Ltd, Real Insurance Tanzania and Zeniki Investment Ltd.



Mr George Mwangi (41)

Chief Executive Officer

Mr. George Mwangi is a Certified Public Accountant and a member of the ICPAK. He is also a Certified Public Secretary and holds a bachelor's degree in International Business Administration and an MBA from Strathmore Business School.

He has substantial experience in the industry, having worked with the Company for over 16 years at senior levels.



Mr Bruno Thomas (72)

Consultant, Bruno Thomas, formerly of the Nexans Group, has a wealth of experience in the energy sector having been, the executive vice president of Nexans Group for the rest of World Area. In addition he was previously President of the Energy Cables Division, President of the board of Alcatel Kabel KG and Director of Industrial strategy.



Mr Peter Kanyago (67)

MBS, EBS – Director

Mr. Kanyago is a fellow of the Institute of Certified Public Accountants of Kenya, member of the Institute of Certified Secretaries of Kenya and holds an MBA in Industrial Management. As an entrepreneur, he holds directorships in companies he has built, including East African Courier Ltd and East Africa Elevator Company (Thyssen-Krupp). He is the Chairman of Kenya Tea Development Agency (KTDA) Ltd, and holds directorships at Kenya Tea Packers (KETEP), Corporate Insurance Company Ltd and East African Cables Ltd. His contribution to the nations has been recognized in his being awarded the Moran of the order of the Burning Spear (MBS) and Elder of the order of the Burning Spear (EBS) of the Republic of Kenya. He is a fellow of Kenya Institute of Management (KIM).

BOARD OF DIRECTORS



Dr Gachao Kiuna (37)

Dr Gachao Kiuna joined the Trans-Century group from Mckinsey & Company in Johannesburg, where he was involved in advising corporate clients in emerging markets on corporate finance, strategy, operational excellence and organizational effectiveness. At Mckinsey he focused on economic development (e.g country strategy) and electric power (particularly generation).

He was also the principle consultant that led the Mckinsey assignment to develop the Vision 2030 project for the Government of Kenya. Gachao holds a PHD from the University of Cambridge, Corpus Christi College in the UK and also holds a first Class Honors BSc degree from Imperial College, London in Biochemistry.



Mr Michael Waweru (64)

Mr Michael Waweru is a graduate of University of Nairobi where he attained his Bachelor of Commerce Honors Degree. He is a Fellow of the Association of Chartered Accountants (FCCA), Institute of Certified Public Accountants of Kenya (ICCPA) and a member of the Institute of Directors and Certified Trainer on Corporate Governance. Mr. Waweru was awarded the Chief of the order of Burning Spear CBS, by H.E The President of Kenya, due to his work in the revenue administration. He was the Commissioner General – Kenya Revenue Authority from 2003 – 2012.



Ambassador Dennis Awori (60)

Amb. Dennis Awori earned his BSc with Honors degree in Aeronautical Engineering from the University of Manchester in 1977. He began his career with Cooper Motor Corporation Ltd, and later moved to Motor Mart Group (later Lonrho Motors East Africa) where he rose to the position of Managing Director in 1995. He was later appointed the Ambassador of the Republic of Kenya to Japan and during his tenure he spearheaded the establishment of the Kenyan Embassy in Korea, as well as built strong relations between Kenya and the two countries. He currently sits in a number of boards including Toyota Kenya Limited where he is the Chairman, Bank of Africa and Kenya Airways. Amb. Awori is a keen sportsman and has been Chairman of both the Kenya Rugby Football Union and the Uganda Rugby Football Union in consecutive terms between 1990 and 1997.



Ms Virginia Ndunge (45)

Virginia Ndunge is a Certified Public Secretary and a member of the ICPSK. She holds a Bcom. Degree in Finance and Dip. In Project Management. She has substantial experience in Company Secretarial having worked with Emu Registrars, Certified Public Secretaries for over 12 years. In July 2013, she joined Kaplan and Stratton Advocates to head their company Secretarial Division.

MANAGEMENT TEAM



Mr George Mwangi
Chief Executive Officer



Mr Joseph Kinyua
Group Finance Manager



Mr David Mwangi
Group Technical Manager



Mr John Mugo
Chief Operating Officer



Mr Tom Oyugi
Business Development Manager



Mr Joseph Hunja
General Manager, Tanzania



Mrs Phyllis Gachau
Group Marketing Manager



Mr Joseph Kamau
Group Production Manager

INCREASED FOOTPRINTS

.....
Proud to serve the wider East and Central Africa region
.....



GEOGRAPHICAL PRESENCE

Kenya | Uganda | Tanzania | Rwanda | Burundi | South Sudan | DRC | Ethiopia | Somalia

REPORT OF DIRECTORS

The directors have pleasure in submitting their report together with the audited financial statements for the year ended 31 December 2014, which disclose the state of affairs of the company and the group.

1. ACTIVITIES

The group's principal activities continue to be the manufacture and sale of electrical cables and conductors.

2. GROUP RESULTS

Profit before taxation
Income tax expense

Profit for the year

2014 KShs '000	2013 KShs '000
507,483	585,400
(166,334)	(187,198)
341,149	398,202

The detailed results for the year are set out on page 29.

3. DIVIDENDS

The directors recommend the payment of a final dividend of KShs 0.50 per share amounting to KShs 126,562,500. This together with an interim dividend of KShs 0.50 per share amounting to KShs. 126,562,500 already paid amounts to a total dividend of KShs 1.00 per share amounting to KShs 253,125,000 (2013 – KShs 1.00 amounting to KShs 253,125,000).

4. DIRECTORS

The directors who served since 1 January 2014 are set out on pages 6 and 7.

5. AUDITORS

The auditors, KPMG Kenya, continue in office in accordance with Section 159(2) of the Kenyan Companies Act.

6. APPROVAL OF FINANCIAL STATEMENTS

The financial statements were approved at a meeting of the directors held on 10 February 2015.

BY ORDER OF THE BOARD

Virginia Ndunge

Secretary
Date: 10 February 2015

RIPOTI YA WAKURUGENZI

Wakurugenzi wana furaha kuwasilisha ripoti yao pamoja na taarifa za ukaguzi wa mahesabu za kipindi cha matumizi ya pesa kilichokamilika tarehe 31 Disemba 2014, ambayo inaweka wazi hali ya mambo katika kampuni, na shirika kwa jumla.

1. SHUGHULI

Shughuli kuu za shirika hili bado ni utengenezaji na uuzaji wa nyaya za stima pamoja na vipitisha umeme.

2. MATOKEO

Faida kabla ya ushuru
Matumizi ya pato la ushuru

Faida ya mwaka

2014 KShs '000	2013 KShs '000
507,483 (166,334)	585,400 (187,198)
341,149	398,202

Matokeo ya kina ya mwaka yameangaziwa katika ukurasa wa 29.

3. GAWIO

Wakurugenzi wanapendekeza malipo ya gawio la mwisho la senti hamsini (KShs 0.50) kwa kila hisa ambalo ni jumla ya shilingi 126,562,500. Gawio hili, pamoja na lile la muda la senti hamsini (KShs 0.50) kwa kila hisa ambalo tayari limelipwa, linafikisha jumla ya shilingi moja (KShs 1.00) kwa gawio la kila hisa, hii ikiwa ni shilingi 253,125,000 (2013 – Shilingi moja (KShs 1.00) ambayo ni jumla ya shilingi 253,125,000).

4. WAKURUGENZI

Wakurugenzi waliohudumu tangu tarehe moja, mwezi Januari mwaka wa 2014 wameangaziwa katika ukurasa wa 6 na 7.

5. WAKAGUZI WA MAHESABU

Wakaguzi wa mahesabu kutoka KPMG Kenya wataendelea kuhudumu kwa mujibu wa kifungu cha 159(2) cha Sheria za Kampuni za Kenya.

6. KUIDHINISHWA KWA TAARIFA ZA KIFEDHA

Taarifa za kifedha ziliidhinishwa katika mkutano wa wakurugenzi uliofanyika tarehe 10 Februari, 2015.

KWA AMRI YA BODI

Virginia Ndunge

Katibu
Tarehe: 10 Februari 2015

CORPORATE GOVERNANCE

The board East African Cables Limited recognizes the importance of corporate governance and as such it carries out its mandate with honesty, openness and integrity and is committed to applying and enforcing relevant corporate governance principles, policies and practices within the Group. The board is committed to the principles of accountability, compliance with the law and to the provision of relevant and meaningful reporting to all stakeholders.

BOARD OF DIRECTORS

The Board consists of the Chairman, Z. G. Mbugua, five non-executive directors and the Managing Director George Mwangi. The directors' biographies appear on page 6 and 7. All non-executive directors are independent of management and have diverse skills, experience and competencies appropriate for effective management of the company's business.

This board meets on a quarterly basis as scheduled during the year, with additional meetings when necessary. The directors are given appropriate and timely information so that they can maintain full and effective control over strategic, financial, operational and compliance issues. Except for the direction and guidance on general policy, the board has delegated authority for conduct of day-to-day business to the Managing Director. The Board nonetheless retains responsibility in maintaining the company's overall internal control on financial, operational and compliance issues. All our directors have also attended various corporate governance courses organized by accredited institutions.

All non-executive directors are subject to periodic re-appointment in accordance with company's Articles of Association which requires that one third of the longest serving directors (since their last election) retire by rotation every year and if eligible their names are submitted for re-election at the Annual General meeting.

The composition of the board and attendance during the year is as shown below.

Member	Attendance
ZG Mbugua	7 / 7
G Kiuna	4 / 7
PT Kanyago	6 / 7
MG Waweru	5 / 7
JB Thomas	5 / 7
D Awori	5 / 7
GC Mwangi	7 / 7
V Ndunge	7 / 7

COMMITTEES OF THE BOARD

The following standing committees assist the Board in the discharge of its duties. These committees meet regularly under the terms of reference set by the board.

AUDIT COMMITTEE

The board has constituted an audit committee which meets quarterly or as required. Its membership is composed of M.G. Waweru and P.T. Kanyago who are non-executive directors.

Its responsibilities include review of financial information in particular half year and annual financial statements, compliance with international financial reporting standards, compliance with listing obligations, liaison with both internal and external auditors, remuneration of auditors and maintaining oversight on internal control systems. Other responsibilities are to receive and review the company's annual budget, to review the purchasing regulations and to consider recommendations for insurance renewals. The committee is guided by a charter from the board which outlines its mandate.

The audit committee is comprised of members who are well experienced in financial matters including reporting and risk management. The members of the audit committee, together with a record of their attendance at scheduled meetings during the year are set out in the table below.

Member	Attendance
MG Waweru	5 / 8
PT Kanyago	8 / 8
G Kiuna	6 / 8
GC Mwangi	8 / 8
V Ndunge	8 / 8

HUMAN RESOURCE COMMITTEE

This committee is responsible for monitoring and appraising the performance of management, review of all human resources policies and determining the remuneration of senior management.

The committee meets quarterly or as required. Its membership and attendance during the year is as shown in the table below.

Member	Attendance
PT Kanyago	3 / 3
ZG Mbugua	3 / 3
G Kiuna	2 / 3
GC Mwangi	3 / 3

STRATEGY COMMITTEE

Membership of this committee comprises of all the non-executive directors of the company and Mr. G. Njoroge, a non-executive director of East African Cables (Tz) Ltd who was appointed to the committee in order to benefit from his expertise in the electrical business.

The main responsibility of the committee is to chart the strategy of the company and to oversee implementation of strategic decisions of the board which include product and or geographical diversification, strategic partnerships and also review proposals involving capital expenditure. Here below is the attendance schedule during the year.

CORPORATE GOVERNANCE

Member	Attendance
ZG Mbugua	5 / 5
G Kiuna	5 / 5
PT Kanyago	3 / 5
MG Waweru	5 / 5
GM Njoroge	5 / 5
JB Thomas	5 / 5
D Awori	4 / 5
GC Mwangi	5 / 5
V Ndunge	5 / 5

COMMERCIAL COMMITTEE

The Board of Directors constituted this committee in the year under review with the primary mandate of evaluating the Group's route to market, customer service and regional diversification. This committee also evaluates regional market data and advises the board on the overall market strategy.

The membership of this committee comprise of two non-executive directors and the managing director while all the senior managers are also invited. Here below is the attendance schedule during the year.

Member	Attendance
D Awori	2 / 2
ZG Mbugua	2 / 2
GC Mwangi	2 / 2

The Managing Director is a member of all committees while senior managers are invited to the relevant committees. The committees submit their findings and recommendations at the quarterly board meetings.

COMMUNICATION WITH SHAREHOLDERS

The company is committed to ensuring that shareholders and the financial markets are provided with full and timely information about its performance. In the year, the company accomplished this objective through website updates, publication and distribution of its Annual Report and release of notices in the national press. The publications in the local dailies related to interim and year end results and interim dividend payment. The company also holds statutory meetings as required.

In this regard, the company complies with the obligations contained in the Nairobi Securities Exchange's Listing Rules, the Capital Markets Authority Act and the Kenyan Companies Act.

DIRECTORS' LOANS

There were no loans made to the directors at any time during the year by virtue of their position in the Group.

DIRECTORS' REMUNERATION

The aggregate amount of emoluments paid to the directors for services rendered during the financial year ended 2014 is disclosed on note 24 to the financial statements. Neither at the end of the financial year nor at any time during the year did there exist any arrangement to which the company is a

party, whereby directors might acquire benefits by means of the acquisition of the company's shares.

All business transactions with the directors or related parties are carried out at arm's length. Such transactions have been disclosed on note 24.

RISK MANAGEMENT AND CONTROLS

The board recognizes that managing risk to ensure optimal mix between risk and return is an integral part of achieving corporate goals. The board has put in place processes for identifying, assessing, managing and monitoring risks to ensure that the risk of failure to achieve business objectives is mitigated. The company has defined procedures and financial controls to ensure the reporting of complete and accurate accounting information. These cover systems for obtaining authority for major transactions and for ensuring compliance with the laws and regulations that have significant financial implications. Procedures are also in place to ensure that assets are subject to proper physical controls and that the organization remains structured to ensure appropriate segregation of duties.

In reviewing the effectiveness of the systems of internal controls, the board takes into account the results of all the work carried out to audit and review of the activities of the company.

A comprehensive management accounting system is in place providing financial and operational performance measurement indicators. Regular senior management meetings are held to monitor performance and to agree on measures for improvement.

EMPLOYMENT EQUITY

The Group is committed to the creation of an organization that supports equality of all employees and is committed to elimination of any form of discrimination in the work place. Our practice is to comply with all laws prohibiting discrimination.

BUSINESS ETHICS

The directors attach great importance to the need to conduct the business and operations of the company with integrity and in accordance with good corporate governance practice as set out in the Capital Markets Authority Guidelines for listed companies in Kenya and any other internationally developed principles on good governance. The company adopts the best principles of good corporate culture that requires the directors and all employees to maintain the highest personal and ethical standards and to act in good faith and in the interest of the company. The company has developed and implemented a code of conduct that sets out guidelines and rules, which are based on good governance principles of:

- Full compliance with the law
- Application of best accounting practices
- Safety of all stakeholders
- Product quality and customer focus
- Care of our environment
- Application of best business practices
- Fair competition

CORPORATE GOVERNANCE

SHARE REGISTER DETAILS

Directors' interests in the shares of the company, the distribution of the Company shareholding and analysis of the ten major shareholders as at 31st December 2014 were as follows:

Directors' interest

Name of Director

No.	Name(s)	No. of Shares
1.	Mr. Z.G. Mbugua	764,900
2.	Mr. M.G. Waweru	747,700
3.	Mr. G.C. Mwangi	1,139,195
4.	Mr. P.T. Kanyago	3,750

Major Shareholders

No.	Name(s)	No. of shares	% Shareholding
1.	Cable Holdings (Kenya) Ltd	173,071,149	68.38
2.	Zed Holdings Ltd	4,239,025	1.67
3.	Ali Mohamed Adam	3,846,562	1.52
4.	Standard Chartered Kenya Nominees A/c KE20491	2,499,995	0.99
5.	Abdulrehman Abdulkarim Juma	2,312,100	0.91
6.	The Jubilee Insurance Co. of Kenya Ltd	2,277,250	0.90
7.	Patrick Njogu Kariuki	2,123,600	0.84
8.	Jitendra Chandubhai Patel & Kirankumar Chandubhai Patel	1,419,462	0.56
9.	George Chege Mwangi	1,139,195	0.45
10.	CFC Stanbic Nominees Ltd A/c NR1873738	1,118,220	0.44
11.	Others	59,078,442	23.34
Total		253,125,000	100.00

Distribution of Shareholding Shares range

	No. of Shareholders	No. of Shares held	% Shareholding
1 - 500	6,584	1,406,250	0.56
501 - 5,000	6,539	10,782,562	4.26
5,001 – 10,000	617	4,539,846	1.72
10,001 – 100,000	737	19,588,552	7.74
100,001 – 1,000,000	85	22,941,272	9.06
Above 1,000,000	12	194,046,518	76.66
Total	14,574	253,125,000	100.00

Shareholder analysis by domicile Domicile

	No. of Shareholders	No. of Shares held	% Shareholding
Local institutions	906	190,641,735	75.32
Local individuals	13,573	57,651,662	22.78
Foreign institutions	10	3,637,925	1.44
Foreign individuals	85	1,193,678	0.47
Total	14,574	253,125,000	100.00

UTAWALA WA SHIRIKA

Bodi ya kampuni ya East African Cables Limited inatambua umuhimu wa utawala wa shirika. Kwa sababu hii, kampuni hii inaendesha shughuli zake kwa uaminifu, uwazi na uadilifu, pamoja na kuwa imejitolea kutumia na kutekeleza kanuni, sera na majukumu mwafaka ya utawala wa shirika katika kampuni. Bodi hii vilevile imejitolea kutimiza kanuni za uwajibikaji, kufuata sheria na pia kuzingatia kifungu cha kutoa ripoti zenye manufaa na zenye umuhimu kwa wadau wake.

BODI YA WAKURUGENZI

Bodi hii inajumuisha Mwenyekiti Z. G. Mbugua, wakurugenzi watano wasio watendaji na Mkurugenzi Mkuu, Bwana George Mwangi. Wasifu wa wakurugenzi hawa unapatikana katika ukurasa wa 6 na 7. Wakurugenzi wote wasio watendaji wana uhuru katika usimamizi, pamoja na kuwa wana maarifa mengi, utaalamu na tajiriba pana, ambayo ni mwafaka katika uongozi bora wenye kuifaa shughuli ya kampuni.

Bodi hii hukutana mara nne kwa mwaka kama ilivyopangwa mwakani, ikiwemo mikutano mingine inapobidi. Wakurugenzi hupeleleza habari mwafaka na kwa wakati ufaao ili waweze kudumisha udhibiti kamili wa masuala ya kimkakati, kifedha, kiutendakazi na ikibali. Mbali na kuelekeza na kuongoza katika sera za jumla, bodi hii imempa Mkurugenzi Mkuu mamlaka ya kuendesha shughuli za kawaida za kampuni. Hata hivyo, Bodi hii inabakia na jukumu la kudumisha udhibiti wa jumla wa mambo ya ndani ya kampuni katika masuala ya kifedha, utendaji kazi na ikibali. Aidha, wakurugenzi wetu wote wamehudhuria kozi mbalimbali za utawala wa shirika zilizoandaliwa na taasisi zilizoidhinishwa.

Wakurugenzi wote wasio watendaji huteuliwa tena upya baada ya kipindi fulani, kwa mujibu wa kanuni za kampuni zinazohitaji kuwa thuluthi moja ya wakurugenzi waliohudumu kwa muda mrefu zaidi (tangu uchaguzi wao uliopita) wastaafu kwa awamu kila mwaka, na ikiwa bado wanafaa, majina yao yawasilishwe katika mkutano mkuu wa mwaka ili wachaguliwe upya. Hili hapa jedwali linaloonesha walio kwenye bodi hii na jinsi walivyohudhuria mkutano katika mwaka unaoangaziwa.

Mwanachama	Mahudhurio
ZG Mbugua	7 / 7
G Kiuna	4 / 7
PT Kanyago	6 / 7
MG Waweru	5 / 7
JB Thomas	5 / 7
D Awori	5 / 7
GC Mwangi	7 / 7
V Ndunge	7 / 7

KAMATI ZA BODI

Kamati zifuatazo zilizopo kwa sasa zinasisaidia Bodi hii kutekeleza majukumu yake. Kamati hizi hukutana mara kwa mara, chini ya hadidu za rejea zilizotengwa na Bodi hii.

KAMATI YA UKAGUZI WA MAHESABU

Bodi hii imebuni kamati ya ukaguzi wa mahesabu ambayo hukutana kila baada ya miezi mitatu au inapohitajika. Wanachama wake ni Bw M.G. Waweru na P. T. Kanyago ambao ni wakurugenzi

wasio watendaji. Majukumu ya kamati hii ni pamoja na kukagua taarifa za kifedha za kipindi fulani cha nusu ya mwaka na taarifa za kifedha za kila mwaka; kutimiza viwango vya kimataifa vya uripoti wa kifedha, kutimiza majukumu ya uorodheshaji, kushirikiana na wahasibu wa ndani na nje ya shirika, kuwalipa ujira wahasibu wasio wa kampuni na kudumisha uangalizi wa mfumo wa udhibiti wa mambo ya ndani. Majukumu mengine ni kupokea na kuhakiki bajeti ya mwaka ya kampuni, kuchunguza upya taratibu za ununuzi na kutoa mapendekezo ya kukata bima upya. Kamati hii inaongozwa na mkataba kutoka kwa bodi, ambao unadokeza wajibu wake.

Kamati hii ina wanachama wenye tajiriba pana katika masuala ya kifedha ikiwa ni pamoja na uripoti na udhibiti wa hatari. Wanachama wa kamati ya ukaguzi wa mahesabu, wameorodheshwa katika jedwali lifuatalo, pamoja na jinsi walivyohudhuria mikutano mwakani.

Mwanachama	Mahudhurio
MG Waweru	5 / 8
PT Kanyago	8 / 8
G Kiuna	6 / 8
GC Mwangi	8 / 8
V Ndunge	8 / 8

KAMATI YA WAFANYAKAZI

Kamati hii ina wajibu wa kuchunguza na kutathmini utendaji kazi wa wasimamizi na pia kuchunguza upya sera zote za utendaji kazi na kutoa uamuzi kuhusu ujira wa wasimamizi wakuu. Kamati hii hukutana mara nne kwa mwaka kama inavyohitajika. Wanachama wake wameorodheshwa katika jedwali lifuatalo, ikiwa ni pamoja na jinsi walivyohudhuria mikutano katika mwaka unaoangaziwa.

Mwanachama	Mahudhurio
PT Kanyago	3 / 3
ZG Mbugua	3 / 3
G Kiuna	2 / 3
GC Mwangi	3 / 3

KAMATI YA MIKAKATI

Uanachama wa hii kamati unawajumuisha wakurugenzi wote wasio watendaji katika kampuni, na Bw G. Njoroge ambaye ni mkurugenzi asiye mtendaji wa East African Cables (Tz) Ltd. Bw Njoroge aliteuliwa katika kamati ili kuinufaisha kutokana na maarifa yake katika masuala ya umeme.

Jukumu kuu la kamati hii ni kupangia kampuni mikakati na kuhakikisha utekelezaji wa maamuzi ya kimkakati ya bodi, ambayo ni pamoja na upanuzi wa bidhaa na maeneo ya mauzo, ubia wa kimkakati na kuhakiki mapendekezo yanayohusu matumizi ya mtaji. Ifuatayo ni jinsi mahudhurio ya kamati hii yalivyokuwa katika mwaka unaoangaziwa.

UTAWALA WA SHIRIKA

Mwanachama	Mahudhurio
ZG Mbugua	5 / 5
G Kiuna	5 / 5
PT Kanyago	3 / 5
MG Waweru	5 / 5
GM Njoroge	5 / 5
JB Thomas	5 / 5
D Awori	4 / 5
GC Mwangi	5 / 5
V Ndunge	5 / 5

KAMATI YA BIAASHARA

Kamati hii iliundwa na bodi ya wakurugenzi katika mwaka unaoangaziwa. Jukumu kuu la kamati hii ni kutathmini hatua za kampuni katika soko lake, huduma kwa wateja na upanuzi katika eneo. Kamati hii vilevile inatathmini data kutoka soko la kieneo na kuishauri bodi kuhusu mkakati wa jumla wa soko.

Uanachama wa kamati hii unajumuisha wakurugenzi wawili wasio watendaji na mkurugenzi mkuu. Mameneja wote wakuu vilevile hualikwa. Katika mwaka unaoangaziwa, wanachama wa kamati hii walihudhuria mikutano yao ifuatavyo.

Mwanachama	Mahudhurio
D Awori	2 / 2
ZG Mbugua	2 / 2
GC Mwangi	2 / 2

Mkurugenzi Mkuu ni mwanachama wa kamati zote ilhali mameneja wakuu hualikwa kwa kamati husika. Kamati hizi huwasilisha ripoti pamoja na mapendekezo yao katika mkutano wa bodi ya kila baada ya miezi mitatu.

MAWASILIANO NA Wawekezaji

Kampuni hii imejitolea kuhakikisha kuwa wawekezaji pamoja na masoko ya fedha yanapata habari kamili kuhusu utendaji wake, kwa wakati ufaao. Mwaka huu, kampuni hii ilitimiza lengo hili kupitia kwa utoaji wa taarifa za mara kwa mara kwenye tovuti yake, uchapishaji na usambazaji wa ripoti yake ya kila mwaka na utoaji wa ilani zake kupitia magazeti ya kitaifa. Machapisho kwenye magazeti yalikuwa matokeo ya muda na yale ya mwisho wa mwaka na malipo ya gawio la muda. Vilevile, kampuni hii hufanya mikutano ya kisheria kama inavyohitajika.

Kwa sababu hii, kampuni hii inatimiza wajibu uliowekwa katika sheria za uratibishaji za soko la hisa la Nairobi, sheria za mamlaka ya masoko ya mtaji na sheria za kampuni za Kenya.

MIKOPO YA WAKURUGENZI

Hapakuwa na mikopo iliyotolewa kwa wakurugenzi wakati wowote mwakani kwa misingi ya nafasi yao katika shirika.

UJIRA WA WAKURUGENZI

Jumla ya kiasi cha mshahara waliolipwa wakurugenzi kwa huduma walizotoa katika kipindi cha matumizi ya pesa cha mwaka 2014 yamefafanuliwa katika kijeledi 24 katika taarifa za kifedha. Hakuna wakati, iwe ni mwishoni mwa kipindi hiki cha matumizi ya pesa au wakati wowote ule mwakani, kulipotokea

mpango wowote unaoishirikisha kampuni, ambapo wakurugenzi waliweza kujipa faida kwa kumiliki hisa za kampuni. Uendeshaji wa shughuli zote za kibiashara na wakurugenzi au washirika unafanywa kwa uwazi. Shughuli hizo zimefafanuliwa katika kijeledi 24.

UDHIBITI NA UZUIAJI WA HATARI

Bodi hii inatambua kuwa kudhibiti hatari ili kudumisha mseto wa hali ya juu kati ya hatari na mapato ni sehemu muhimu katika kuafiki malengo ya shirika. Hivyo basi, bodi hii imeweka taratibu za kutambua, kutathmini, kudhibiti na kuchunguza hatari ili kuhakikisha kwamba hatari za kukosa kufikia malengo ya kibiashara zimepunguzwa. Kampuni vilevile ina taratibu bainifu na mikakati ya udhibiti wa kifedha ili kuhakikisha utoaji wa ripoti kamili za uhasibu na zenye taarifa kamili. Haya yanajumuisha mifumo ya kujipa mamlaka kwa shughuli muhimu na kuhakikisha uzingativu wa sheria na kanuni ambazo zina athari kubwa kifedha. Aidha, taratibu zimewekwa kuhakikisha kwamba rasilimali zinaangaliwa vizuri kihali na kwamba muundo wa shirika unabakia ili kuhakikisha muainisho maalumu wa majukumu.

Katika kutathmini usawa wa utendakazi wa mifumo ya udhibiti wa mambo ya ndani, bodi ya wakurugenzi hutilia maanani matokeo ya kazi zote zilizotekelezwa katika kuhakiki na kuchunguza shughuli za kampuni.

Mfumo wa kina unaohusu uwajibikaji wa wasimamizi umewekwa ili kutoa vipimo vya utendaji wa kifedha na vya kiutendakazi. Mikutano ya mara kwa mara ya mameneja wakuu hufanywa ili kuchunguza utendaji na kukubaliana kuhusu taratibu za kujiimarisha.

USAWA KATIKA KUJIRI

Tumejitolea kujenga shirika linalounga mkono usawa wa wafanyakazi wote pamoja na kuwa kujitolea kumaliza kabisa aina yoyote ya ubaguzi kazini. Desturi yetu ni kutimiza sheria zote zinazopiga marufuku ubaguzi.

MAADILI YA KIBIASHARA

Wakurugenzi hutilia maanani zaidi umuhimu wa kuendesha biashara na utendakazi wa kampuni kwa uadilifu mkubwa na kwa mujibu wa sera bora za utawala wa shirika kama ilivyoainishwa kwenye Mwongozo wa Mamlaka ya Masoko ya Mtaji kwa kampuni zilizoratibiwa nchini Kenya, yakiwemo maadili mengine ya kimataifa yanayohusu utawala bora. Kampuni hii huidhinisha sera bora zaidi za utamaduni bora wa shirika, zinazowahitaji wakurugenzi na wafanyakazi wote kudumisha viwango vya juu vya maadili ya kibinafsi na ya kikazi pamoja na kuwa kila walifanyalo liwe ni kwa nia njema na lenye kuinufaisha kampuni. Kampuni hii imebuni na kutekeleza kanuni ya maadili inayotoa miongozo na sheria ambazo zinaegemea sera nzuri za utawala kama vile:

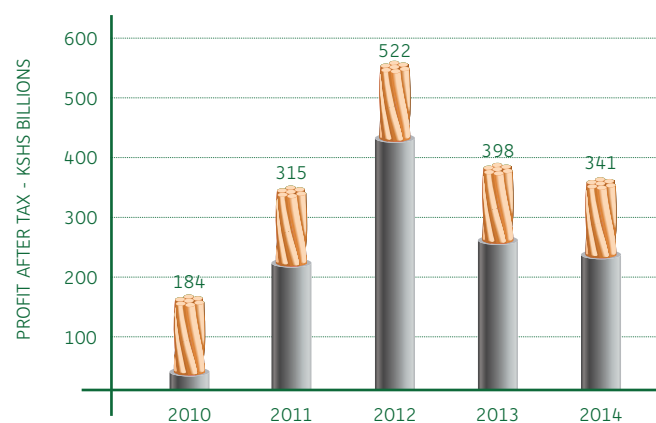
- Kutimiza sheria kikamilifu
- Kutumia njia bora zaidi za uhasibu
- Usalama wa washikadau wote
- Ubora wa bidhaa na kuwaangazia wateja
- Kutunza mazingira yetu
- Kutumia njia bora zaidi za kuendesha biashara
- Ushindani wa haki

5 YEAR COMPARATIVE RESULTS

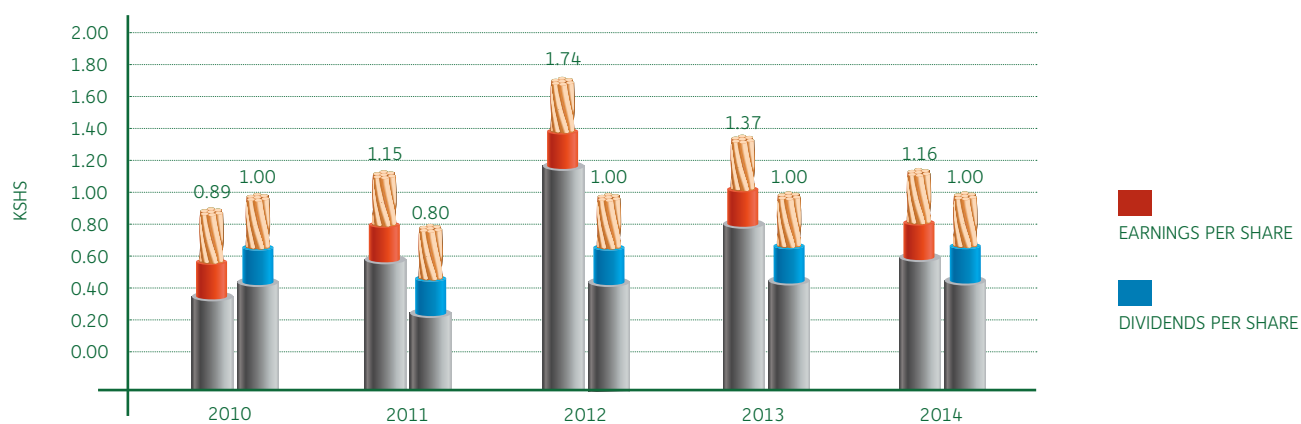
SALES TREND



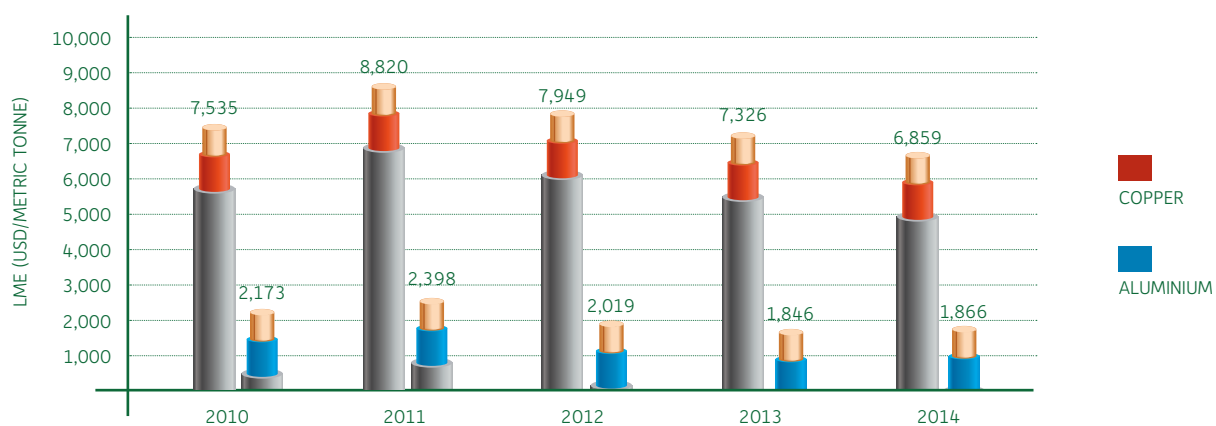
PROFIT AFTER TAX



EARNINGS AND DIVIDENDS



LONDON METAL EXCHANGE CASH SETTLEMENT PRICE PER METRIC TONNE



STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Directors are responsible for the preparation and presentation of the company and consolidated financial statements of East African Cables Limited and its subsidiary set out on pages 29 to 62 which comprise the statements of financial positions of the group and of the company as at 31 December 2014, and the group's statement of comprehensive income, the group and company statement of changes in equity and group statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

The Directors' responsibilities include: determining that the basis of accounting described in Note 2 is an acceptable basis for preparing and presenting the financial statements in the circumstances, preparation and presentation of financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Under the Kenyan Companies Act, the Directors are required to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and of the company as at the end of the financial year and of the operating results of the group for that year. It also requires the Directors to ensure the company and its subsidiary keep proper accounting records which disclose with reasonable accuracy the financial position of the group and the company.

The Directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The Directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and the company and of the group operating results.

The Directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

The Directors have made an assessment of the group and the company's ability to continue as a going concern and have no reason to believe the company and its subsidiary will not be a going concern for at least the next twelve months from the date of this statement.

APPROVAL OF THE FINANCIAL STATEMENTS

The financial statements, as indicated above, were approved by the Board of Directors on 10 February 2015 and were signed on its behalf by:



Director



Director

TAARIFA YA MAJUKUMU YA WAKURUGENZI

Wakurugenzi wana jukumu la kuiwakilisha kampuni pamoja na kuandaa na kuwasilisha taarifa za kifedha za kampuni ya East African Cables Limited na matawi yake kama ilivyoainishwa katika ukurasa wa 29 hadi 62 ambazo zinajumuisha taarifa za hali za kifedha za shirika na kampuni kufikia tarehe 31 Disemba 2014, na taarifa kamilifu za mapato ya shirika; taarifa za shirika, na za kampuni, kuhusu mabadiliko katika usawa pamoja na taarifa za shirika kuhusu mapato na matumizi ya pesa za mwaka huo uliomalizika na vilevile ufupisho wa sera muhimu za uhasibu na taarifa nyingine zilizoelezewa.

Majukumu ya wakurugenzi ni pamoja na: kuamua kuwa misingi ya uhasibu iliyoelezewa katika kijeledi 2 ni yenye kukubalika katika kuandaa na kuwasilisha taarifa za kifedha katika hali hizo; kuandaa na kuwasilisha taarifa za kifedha kwa mujibu wa Viwango vya Kimataifa vya Uripoti wa Kifedha (IFRS), na katika hali inayokubaliwa na Sheria za Kampuni za Kenya na katika hali yoyote ya udhibiti wa ndani ambao wakurugenzi wataamua kuwa ni muhimu katika kuwezesha kuandaliwa kwa taarifa za kifedha ambazo hazina makosa; aidha ya ulaghai au kasoro.

Chini ya Sheria za Kampuni za Kenya, wakurugenzi wanahitajika kuandaa taarifa za kifedha za kila mwaka zinazobainisha ukweli wa mambo katika shirika na kampuni kufikia mwisho wa kipindi cha matumizi ya pesa mwaka huo, na zile za matokeo ya utendaji wa shirika mwaka huo. Sheria hizo vilevile zinawahitaji wakurugenzi wahakikishe kuwa kampuni na matawi yake yanadumisha rekodi sahihi za uhasibu, ambazo zinaweka wazi kabisa hali ya kifedha ya shirika na kampuni.

Wakurugenzi huziwajibikia taarifa za kifedha za kila mwaka, ambazo zimeandaliwa kutumia sera mwafaka za uhasibu na kudhibitiwa na maamuzi bora na yenye kufaa pamoja na ukadiriaji, ambao unakubalika na Viwango vya Kimataifa vya Uripoti wa Kifedha na kwa mujibu wa sheria za kampuni za Kenya. Maoni ya wakurugenzi ni kuwa taarifa hizi za kifedha zinatoa mtazamo wa kweli kuhusiana na hali ya kifedha ya shirika na kampuni pamoja na ile ya matokeo kwa huduma za shirika.

Zaidi, wakurugenzi wanawajibika kuhusiana na uhifadhi wa rekodi za uhasibu ambazo zinaweza kurejelewa katika matayarisho ya taarifa za kifedha, pamoja na mifumo ya kutosha ya udhibiti wa ndani.

Wakurugenzi wamefanya tathmini ya shirika na uwezo wa kampuni kuendelea kama yenye faida, na wanaamini kuwa kampuni na matawi yake kwa jumla hayatakosa kupata faida kwa takriban miezi kumi na miwili ijayo baada ya kutolewa kwa taarifa hii.

KUIDHINISHWA KWA TAARIFA ZA KIFEDHA

Taarifa za kifedha, kama ilivyoielezwa hapo juu, ziliidhinishwa na bodi ya wakurugenzi tarehe 10 Februari, 2015 na kutiwa sahihi kwa niaba yake na:



Mkurugenzi



Mkurugenzi

CHAIRMAN'S STATEMENT



OUR BUSINESS ENVIRONMENT

I am delighted to welcome you to our 50th Annual General Meeting. It gives me great pride to confirm to you that, in line with our strategy, East African cables ltd has over the last decade solidified its position as a market leader in this region through market diversification and by investing in modern technology.

In December 2013, we embarked on a major factory expansion of our backbone factory in Kitui road. This project whose scope included erecting a new factory building and installing modern cable making machinery is nearing its completion and will be fully operational by end of H2 of 2015. As we celebrate our fifty years of existence, we are confident that a strong foundation is in place to guarantee value to the shareholders. I would also like you to know that our innovations agenda continues to foster growth in our value added product basket across our markets.

OUR BUSINESS ENVIRONMENT

In the year under review, our economy sustained its upward trajectory recording a growth of 5.2% up from 4% recorded in 2013. Other regional economies namely; Tanzania, Uganda, Rwanda and Burundi followed the same growth path. While noting the positive effects of the decline in global oil prices on cost of power, freight and other associated costs of production, the East African economies were however, affected negatively by the sharp depreciation of local currencies experienced towards the last quarter of the year.

On the global scene, the volatility in the metal industry saw the market prices for our primary raw materials Copper and Aluminium decrease by 13% and 8% respectively. Whereas this is positive in that it makes our products more affordable, it does make our revenues decline in the short term. In the medium and longer term lower prices in power, transport and fuel will result in lower costs of construction and power line developments thereby growing volumes for our business resulting in positive growth of our revenues. Your board and management follow this interplay very keenly.

PERFORMANCE

This year, the group achieved another milestone by surpassing the Kshs 5 Billion revenue mark. Notwithstanding key challenges faced during the financial year, the group delivered bold results for the year with growth of 13% in revenue to close at Kshs 5.1 Billion. Export business presents sustainable opportunities for growth albeit lower margins, the effect of which was a reduction in our earnings per share. The development of export markets will create volume growth resulting in higher revenues and savings from economies of scale thereby delivering positively to our bottom line and increasing the earnings per share.

CHAIRMAN'S STATEMENT

DIVIDEND

Over the years, your business has continued to provide investors with sustainable returns and I am pleased to report that in addition to the interim dividend of Kshs 0.50 per share paid earlier, the Board of Directors is recommending to the Annual General Meeting a final dividend of Kshs. 0.50 per share. This amounts to a total dividend of Kshs 1.00 per share (2013 – Kshs 1.00 per share). The proposed dividend will be paid less withholding tax where applicable on or about 15th June 2015 to members on the register at the close of business on 8th May 2015.

CORPORATE GOVERNANCE

During the year, the board of directors constituted a special committee named Commercial Committee. The mandate of this committee will be to guide all our market activities and to review market information in line with the regional economic developments and identify opportunities available to the group. This committee is also required to promote customer service through product development, value added services and ensuring that all our activities are targeted towards enhancing focus on our customers.

REPORTING STANDARDS

The company continues to adopt the presentation and disclosure requirements of the International Financial Reporting Standards (IFRS) as required by the Institute of Certified Public Accountants of Kenya (ICPAK). Changes and developments in the standards within the financial period under review have been complied with.

RISK MANAGEMENT

The board recognizes that risk management is fundamental to achieving corporate goals. The board has put in place processes for identifying, assessing, managing and monitoring risks to ensure that the company's business objectives are achieved and risks mitigated. The board has retained Deloitte and Touche to assist in assessment and management of risk within the group. The firm continues to advice the board on best practices to be employed to better manage our risk exposure.

LOOKING FORWARD

Developments in power generation, transmission and distribution systems buoyed by a stable macro-economic environment provides immense opportunities for our business. Growing construction sector, Road, rail and ports infrastructure expansion, industrialization, rural electrification programs to light up the schools as well as the counties street lighting projects continue to present new opportunities for our industry. With added manufacturing capacity, the group is poised to meet our customer needs in a timely manner resulting in better returns to the investors.

ACKNOWLEDGEMENTS

I would like to extend very special and sincere gratitude to our stakeholders for their continued support and especially to you the shareholders for your commitment and confidence in the company. I appreciate the support and guidance given to me by the board members.

I wish to make a special recognition to our staff for their diligence at their work, which has continued to deliver positive results, despite the tough conditions of working in an environment of construction when the factory has been undergoing expansion and acknowledge their dedication in serving this Company.



Zephaniah Gitau Mbugua

Chairman
Board of Directors

TAARIFA YA MWENYEKITI



TAARIFA YA MWENYEKITI

Nina furaha kukukaribisha katika mkutano mkuu wa hamsini wa mwaka. Nina fahari kuu kuwahakikishia kwamba kwa mujibu wa mikakati yetu, kampuni ya East African cables Ltd imedhibiti nafasi yake kama kampuni inayoongoza katika soko la eneo hili katika kipindi cha mwongo mmoja sasa. Hili limetokana na upanuzi wa soko pamoja na uwekezaji katika teknolojia ya kisasa.

Mnamo Disemba 2013, tulirejelea upanuzi mkubwa zaidi wa kiwanda chetu kikuu kilichoko Kitui road. Mradi huu ambao lengo lake lilijumuisha kujenga jengo jipya litakalotumiwa kama kiwanda, na kuweka mitambo ya kisasa ya kutengeneza nyaya, unakaribia kukamilika. Kiwanda hiki kitakuwa kazini kikamilifu kufikia kipindi cha nusu ya pili ya mwaka 2015. Hivyo basi, wakati tukisherehekea miaka hamsini ya uwepo wetu katika biashara, hatuna shaka kwamba tumeweka msingi imara na thabiti ili kuwahakikishia thamani bora wawekezaji wetu. Ningependa pia mjue kwamba ajenda yetu ya kuwa wabunifu inazidi kuchangia kuongezeka kwa idadi ya bidhaa zetu zilizo na ubora zaidi, katika masoko yetu.

MAZINGIRA YETU YA BIASHARA

Katika mwaka huu tunaoangazia, uchumi wetu ulidumisha imariko na kurekodi ukuaji kwa asilimia tano nukta mbili (5.2%) kutoka asilimia nne (4.0%) uliorekodiwa mwaka 2013. Uchumi wa mataifa mengine kama vile Tanzania, Uganda, Rwanda na Burundi vilevile ulifuata mkondo huo. Ingawa kushuka kwa bei za kimataifa za mafuta kulisababisha kupungua kwa gharama za umeme, usafirishaji na gharama nyingine husika za uzalishaji, uchumi wa nchi za Afrika Mashariki hata hivyo ziliathiriwa vibaya na kushuka kwa kiwango kikubwa kwa thamani ya pesa kama ilivyoshuhudiwa katika kipindi kilichoelekea katika robo ya mwisho ya mwaka huu.

Katika soko la dunia, kuyumbayumba kwa soko la chuma kulisababisha bei za malighafi yetu kuu ambayo ni shaba nyekundu na alumini kupungua kwa asilimia kumi na tatu (13%) na asilimia nane (8%) mtawalia. Ingawa kupungua huku ni kuzuri kwa kuwa kunazifanya bidhaa zetu kumudika, kunapunguza mapato yetu kwa kipindi kifupi. Kupungua kwa gharama za umeme, usafirishaji, mafuta na kadhalika kwa kipindi cha wastani au kirefu, kutasababisha kushuka kwa gharama za ujenzi na zile za kukita nguzo za umeme, hivyo basi kuzidisha soko la bidhaa zetu. Hali hii vilevile itasababisha ukuaji mzuri wa mapato yetu. Bodi yenu pamoja na usimamizi wa kampuni kwa jumla wanafuatilia matukio haya kwa makini zaidi.

UTENDAJI

Mwaka huu, kampuni hii ilipiga hatua nyingine kwa kuzidi kiwango cha mapato cha shilingi bilioni tano (KShs 5 bn). Pamoja na changamoto kuu zilizoshuhudiwa katika kipindi hicho cha matumizi ya pesa, kampuni hii ilipata matokeo mazuri zaidi katika mwaka huo.

TAARIFA YA MWENYEKITI

Ukuaji wa mapato kwa asilimia kumi na tatu (13%) ulifikisha jumla ya mapato kuwa shilingi bilioni tano nukta moja (KShs 5.1 bn) kufikia mwisho wa mwaka. Soko la nje linatoa fursa za ukuaji zenye kudumishika licha ya viwango vya chini vya faida, hali ambayo ilituathiri kwa kusababisha kupungua kwa mapato yetu kwa kila hisa. Ustawi wa masoko ya nje utatoa nafasi nzuri ya mauzo ya bidhaa nyingi na hatimaye kusababisha mapato ya juu pamoja na uwekezaji kutokana na viwango vya ukuaji wa uchumi, hivyo basi kunufaisha faida yetu ya jumla na kuzidisha mapato kwa kila hisa.

GAWIO

Kwa miaka mingi, biashara yetu imezidi kuwapa wawekezaji faida zenye kudumishika na nina furaha kuripoti kuwa pamoja na gawio la muda la senti hamsini (KShs 0.50) kwa kila hisa ambalo lililipwa hapo awali, Bodi ya Wakurugenzi inapendekeza kwa Mkutano Mkuu wa Mwaka, gawio la mwisho la senti hamsini (KShs 0.50) kwa kila hisa. Gawio hili inafikisha jumla ya gawio la shilingi moja (KShs 1.00) kwa kila hisa (2013 – KShs 1.00 kwa kila hisa). Gawio hili lililopendekezwa litalipwa, baada ya kukatwa ushuru inapobidi, hapo tarehe 15 Juni, 2015, au kabla ya tarehe hiyo kwa wanachama ambao watakuwa kwenye rejesta kufikia mwisho wa shughuli za siku, tarehe 8 Mei 2015.

UTAWALA WA SHIRIKA

Katika mwaka huu, bodi ya wakurugenzi iliunda kamati maalumu iliyoipewa jina: Kamati ya Biashara. Jukumu la kamati hii litakuwa kutoa maelekezo kwa shughuli zetu zote za mauzo na kutathmini habari kutoka kwa soko, kwa kuzilinganisha na hali katika uchumi wa maeneo mengine. Pamoja na hayo, kamati hii itatambua fursa zilizopo za kibiashara ili kampuni iwekeze. Zaidi, kamati hii inahitajika kuendeleza huduma kwa wateja kupitia ukuzaji wa bidhaa, kuzidisha thamani kwa huduma zetu pamoja na kuhakikisha kwamba shughuli zetu zote zinalenga kuimarisha mtazamo wetu kwa wateja wetu.

VIWANGO VYA URIPOTI

Kampuni inazidi kuzingatia mahitaji ya uwasilishaji na uwazi ya Halmashauri ya Kimataifa ya Uripoti wa Kifedha (IFRS) kama inavyohitajika na Taasisi ya Mahasibu Halali wa Umma nchini Kenya (ICPAK). Mabadiliko na ustawi katika viwango hivyo katika kipindi cha matumizi ya pesa cha mwaka unaoangaziwa, yamezingatiwa.

UDHIBITI WA HATARI

Bodi hii inatambua kuwa udhibiti wa hatari ni muhimu katika kuafiki malengo ya shirika. Hivyo basi, bodi hii imeweka taratibu za kutambua, kutathmini, kudhibiti na kuchunguza hatari ili kuhakikisha kwamba malengo ya kibiashara ya kampuni hii yamefikwa, na hatari kupunguzwa. Bodi hii imeidumisha kampuni ya Deloitte and Touche ili kusaidia katika kutathmini na kudhibiti hatari katika shirika hili.

Kampuni hiyo itaendelea kuishauri bodi kuhusiana na mifumo bora zaidi zinazoweza kutumiwa katika kudhibiti hatari inayotukabili.

MATARAJIO

Ustawi katika mifumo ya kuzalisha, kueneza na kusambaza umeme ambao umedumishwa na mazingira thabiti ya uchumi mkubwa unatoa nafasi nyingi kwa biashara yetu. Ukuaji katika sekta ya ujenzi, upanuzi wa miundombinu kama vile barabara, reli na bandari pamoja na ustawi wa kiviwanda na pia mipango ya kueneza umeme katika maeneo ya mashambani ili kuunganisha kila shule na stima, sawa na miradi ya kaunti ya kuweka umeme katika barabara za miji yao inazidi kutoa nafasi mpya za kibiashara katika sekta yetu. Huku tukiwa na uwezo zaidi wa kutengeneza nyaya, shirika hili liko tayari kutosheleza mahitaji ya wateja wetu kwa wakati ufao na kufanikisha faida bora zaidi kwa wawekezaji.

SHUKRANI

Ningependa kutoa shukrani za kipekee na za dhiti kwa washikadau wetu kwa kuendelea kutuunga mkono, na hasa kwenu wawekezaji kwa kujitolea kwenu na imani yenu kwa kampuni hii. Pia, ninathamini uungwaji mkono pamoja na uelekezi ninaopewa na wanachama wa bodi.

Ningependa vilevile kuwatambua wafanyakazi wetu kwa njia ya kipekee. Kupitia kwa umakinifu wao kazini wamezidi kutupa matokeo mazuri licha ya hali ngumu za kufanyia kazi katika mazingira ya ujenzi wakati kampuni hii ikipanuliwa. Ninatambua pia kujitolea kwao katika kuihudumia kampuni hii.



Zephaniah Gitau Mbugua

Mwenyekiti

Bodi ya Wakurugenzi

CORPORATE SOCIAL RESPONSIBILITY

Our social impact activities are targeted towards youth empowerment, education, health and safety. As we convene the 50th Annual General Meeting in our refurbished factory, we pride ourselves in upholding good health and safety practices more so during our factory expansion. Our company has also continued to conduct its business in an ethical, respectful and fair manner in all its dealings.

HEALTH AND SAFETY

The company recognizes its core value of ensuring the safety of its employees and that of its customers. In 2014, a robust Health and Safety program geared towards staff wellness was rolled out. As we embarked on the factory expansion program, all our staff went through rigorous safety courses that ensured adequate measures were taken throughout the construction period to avoid any injuries and/or accidents. We are delighted to announce that the company reported no incidence during the period. In addition, staff underwent wellness programs that included financial management, stress management, and HIV/AIDS awareness under the OHS (Occupation Health and Safety) Annual Medical Review. We put great emphasis on staff overall wellness to ensure a healthy workforce that is effective both at work and at home.

ANTI-COUNTERFEIT CAMPAIGN

Being cognizant of the dangerous effects that counterfeit and substandard cables can have on end users, the company in conjunction with the local media continued to educate the public on the effects of using counterfeit cables. We have also, for the last three years, increased customer awareness of our product verification system to ensure that you only buy our genuine products. Since its launch, we have seen increased usage of the service throughout the country.

The company also continues to partner with the Anti-Counterfeit Agency, as well as other government bodies to fight the menace.

YOUTH EMPOWERMENT

We have created partnerships with key stakeholders in our industry designed to empower the youth and other special groups in our community. In 2014, East African Cables signed a memorandum with Jamii Bora Bank aimed at providing financing to our customers, especially youth, women and persons with disability for supplies to utilities and government institutions in the country. Other partners in this important role include Rafiki DTM among others.

Our fundi club continues to expand throughout the country with a membership of 1,640 licensed electricians. The company recognizes the importance of having well rounded partners who not only provide key technical advice to our customers, but also run profitable businesses. To this end, the company has rolled out an entrepreneurship training program extended to all club members.

WORKING WITH THE COMMUNITY

In 2013, the company adopted a home at the SOS Children's Village in Buruburu which we have continued to support financially. This has given our staff the opportunity to give back their time and energy to a noble cause.

The company has also maintained its support to Our Lady of Nazareth Primary School in Mukuru slums. In the last financial year, East African Cables supported the school in building the school's lavatory block, in addition to the infirmary and water tank projects that were launched earlier. This goes a long way in ensuring an improved environment for the students.

Other initiatives that the company supported in 2014 included the Chase Bank foundation walk aimed at raising funds to train midwives in the country and subsequently lower maternal deaths.

WAJIBU WA SHIRIKA KWA JAMII

Shughuli zetu kwa jamii zinaelekezwa katika kuwawezesha vijana, elimu pamoja na masuala ya afya na usalama. Huku tukiandaa mkutano mkuu wa hamsini wa mwaka, ambao utafanyika katika kiwanda chetu kilichofanyiwa ukarabati, tunajivunia udumishaji wa maadili bora ya afya na usalama, hasa wakati wa upanuzi wa kiwanda chetu. Kampuni yetu vilevile imeendelea kuendesha shughuli zake kwa ustaarabu, uadilifu na haki katika biashara zake zote.

AFYA NA USALAMA

Kampuni hii inatambua nguzo yake kuu ya kuhakikisha siyo tu usalama wa kila mfanyakazi wake bali pia ule wa wateja wake. Katika mwaka wa 2014, mpango kabambe wa Afya na Usalama ulizinduliwa, kama njia moja ya kujali maslahi ya wafanyakazi. Wakati tuliporejelea shughuli za upanuzi wa kiwanda, wafanyakazi wote walipewa mafunzo murua kuhusu usalama. Mafunzo hayo yalihakikisha kuchukuliwa kwa hatua kabambe katika kipindi chote cha ujenzi ili kuzuia majeraha na/au pamoja na ajali. Tuna furaha kutangaza kwamba hakuna mfanyakazi aliyepata ajali katika kipindi hicho. Zaidi, wafanyakazi walipata mafunzo mbalimbali kuhusiana na maslahi yao, kama vile udhibiti wa matumizi ya pesa, udhibiti wa mzungo wa mawazo pamoja na hamasisho kuhusu UKIMWI. Yote haya yalifanywa chini ya mpango wa Occupation Health and Safety (OHS) ambao hutoa fursa ya ukaguzi wa kimatibabu kila mwaka. Tunatilia maanani zaidi maslahi ya jumla ya wafanyakazi ili kuhakikisha tuna nguvukazi yenye afya na yenye utendajikazi mwema, iwe ni kazini ama nyumbani.

KAMPUNI DHIDI YA BIDHAA GHUSHI

Kwa kutambua hatari na madhara yanayoweza kusababishwa na nyaya ghushi pamoja na zile ambazo hazijafikisha viwango vitavyostahili vya ubora, kwa wateja wetu, kampuni hii, kwa ushirikiano na vyombo vya habari, iliendelea kuielimisha umma pamoja na kuihamasisha kuhusu madhara ya nyaya ghushi. Vilevile, katika miaka mitatu iliyopita, tumeweza pia kuzidisha hamasisho kwa wateja wetu kuhusu mfumo wetu unaowawezesha kutambua bidhaa zetu ili kuhakikisha kwamba wananunua bidhaa halali peke yake. Tangu uzinduzi wa mfumo huo, tumeshuhudia ongezeko katika matumizi ya huduma hiyo kote nchini.

Kampuni hii vilevile inazidi kushirikiana na shirika la kupambana na bidhaa ghushi pamoja na mashirika mengine ya serikali ili kukabiliana na tatizo hili.

KUWAWEZESHA VIJANA

Tumebuni ubia na wadau muhimu katika sekta yetu kwa lengo la kuwapa uwezo vijana pamoja na makundi mengine maalumu katika jamii yetu. Mwaka wa 2014, East African Cables ilitia saina mkataba na benki ya Jamii Bora. Mkataba huo ulinuiwa kuwawezesha wateja wetu, hasa vijana, wanawake na wale mavu kupata ufadhili wa kifedha ili wapate kusambaza bidhaa kwa kampuni shiriki pamoja na taasisi za serikali kote nchini. Wabia wengine katika shughuli hili muhimu ni Rafiki DTM na wengine.

Klabu yetu ya mafundi wa stima, fundi club, nayo inazidi kupanuka kote nchini. Kufikia sasa, klabu hiyo ina mafundi wa stima 1,640 walioidhinishwa. Kampuni hii inatambua umuhimu wa kuwa na washirika wenye utaalamu, ambao hawatatoa tu ushauri wa kiufundi kwa wateja wetu bali wataendesha pia biashara yenye faida. Kwa sababu hii, kampuni hii imezindua mpango wa mafunzo ya kibiashara kwa wanachama wote wa klabu hii.

KUFANYA KAZI NA JAMII

Mwaka wa 2013, kampuni hii ilimiliki makao ya watoto katika kituo cha SOS Children's Village kilichoko Buruburu, na ambayo tunazidi kufadhili kifedha. Makao hayo yametoa fursa kwa wafanyakazi wetu kutenga muda na nguvu zao ili kutoa mchango wao wenye manufaa kwa watoto hao.

Kampuni hii vilevile inaendelea kuifadhili Shule ya Msingi ya Our Lady of Nazareth iliyoko katika mtaa wa mabanda wa Mukuru. Katika kipindi cha matumizi ya pesa cha mwaka uliopita, kampuni ya East African Cables ilifadhili ujenzi wa choo katika shule hiyo, hii ikiwa ni baada ya mradi ya ujenzi wa zahanati na ule wa kuweka tanki za maji, ambayo ilizinduliwa hapo awali. Miradi hii bila shaka imefanikisha pakubwa uwepo wa mazingira bora kwa wanafunzi.

Mipango mingine ambayo kampuni hii ilifadhili katika mwaka wa 2014 ni pamoja na matembezi ya wakfu wa Chase Bank yaliyonuiwa kuchangisha pesa za kuwapa mafunzo wakunga nchini ili kupunguza vifo vya akina mama wakati wakijifungua.

INCREASED CAPACITY

.....
Expansion of Copper Plant providing additional capacity
and flexibility to offer wider product range.
.....



REPORT OF INDEPENDENT AUDITORS TO THE MEMBERS OF EAST AFRICAN CABLES LIMITED

Report on the financial statements

We have audited the consolidated financial statements of East African Cables Limited set out on pages 29 to 62 which comprise the statements of financial position of the group and the company as at 31 December 2014, and the consolidated statement of comprehensive income, consolidated and company statement of changes in equity and consolidated statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' responsibility for the financial statements

As stated on page 18, the directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the group and the company at 31 December 2014, and the group's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

Report on other legal requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- (i) we have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of our audit;
- (ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
- (iii) the statement of financial position of the company is in agreement with the books of account.

The Engagement Partner responsible for the audit resulting in this independent auditors report is FCPA Eric Aholi - P/1471.



KPMG Kenya
ABC Towers, 8th Floor
Waiyaki Way
P.O.Box 40612-00100
Nairobi, Kenya

Date: 10 February 2015

DIRECTORS, OFFICES AND STATUTORY INFORMATION

DIRECTORS

Zephaniah Mbugua	Chairman
George Mwangi	Managing Director
Peter Kanyago	
Michael Waweru	
Bruno Thomas*	
Trans-Century Limited	
Dennis Awori	

* French

SECRETARY

Virginia Ndunge
Certified Public Secretary (Kenya)
PO Box 40111
00100 Nairobi GPO

REGISTRARS

Custody & Registrar Services Limited
6th Floor, Bruce House
Standard Street
PO Box 8484
00100 Nairobi GPO

ADVOCATES

Kaplan & Stratton Advocates
9th Floor, Williamson House
4th Ngong Avenue
PO Box 40111
00100 Nairobi GPO

Muthaura Mugambi Ayugi & Njonjo Advocates
4th Floor, Capitol Hill Square
Upper Hill
PO Box 8418 - 00200
Nairobi

AUDITORS

KPMG Kenya
8th Floor, ABC Towers
Waiyaki Way
PO Box 40612
00100 Nairobi GPO

REGISTERED OFFICE & PRINCIPAL PLACE OF BUSINESS

East African Cables Limited
Industrial Area
Addis Ababa Road
P. O. Box 18243 - 00500
Nairobi

BANKERS

Standard Chartered Bank Kenya Limited
Kenyatta Avenue Branch
P. O. Box 40310
00100 Nairobi GPO

Citibank NA
Upper Hill Branch
P. O. Box 30711
00100 Nairobi GPO

Commercial Bank of Africa Limited
Upper Hill Branch
P. O. Box 30437
00100 Nairobi GPO

Kenya Commercial Bank Limited
Industrial Area Branch
P. O. Box 18031 - 00500
Nairobi GPO

Ecobank Kenya Limited
Ecobank Towers, 13th Floor
Muindi Mbingu Street
P. O. Box 49584
00100 Nairobi GPO

Chase Bank (Kenya) Limited
Hurlingham Branch
P. O. Box 66049 - 00800
Nairobi

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 DECEMBER 2014

	Notes	2014 KShs'000	2013 KShs'000
Revenue	4(a)	5,098,417	4,502,964
Cost of sales	4(c)	(3,778,927)	(3,131,473)
Gross profit		1,319,490	1,371,491
Other income	4(b)	79,888	4,203
Factory expenses	4(c)	(227,259)	(213,092)
Administrative expenses	4(c)	(262,783)	(233,529)
Distribution costs	4(c)	(149,295)	(167,277)
Profit before depreciation and finance costs		760,041	761,796
Depreciation and amortisation	6	(182,884)	(165,852)
Results from operating activities		577,157	595,944
Finance income	7	10,392	40,720
Finance costs	7	(80,066)	(51,264)
Net finance costs	7	(69,674)	(10,544)
Profit before income tax	8	507,483	585,400
Income tax expense	9	(166,334)	(187,198)
Profit for the year		341,149	398,202
Other comprehensive income			
Items that are or may be reclassified to profit or loss			
Foreign currency translation differences on foreign operations		(37,372)	(3,568)
Total other comprehensive income		(37,372)	(3,568)
Total comprehensive income for the year		303,777	394,634
Profit for the year is attributable to:			
Equity holders of the company		294,571	346,415
Non-controlling interest		46,578	51,787
		341,149	398,202
Total comprehensive income attributable to:			
Equity holders of the company		281,606	342,847
Non-controlling interest		22,171	51,787
		303,777	394,634
Basic and diluted earnings per share	10	KShs 1.16	KShs 1.37

The notes set out on pages 35 to 62 form an integral part of these financial statements.

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2014

	Notes	2014 KShs'000	2013 KShs'000
ASSETS			
Non-current assets			
Property, plant and equipment	11	3,549,933	2,793,123
Prepaid operating lease rentals	12	141,163	148,010
Investment property	13	348,299	282,868
Intangible assets	14	3,306	2,080
		4,042,701	3,226,081
Current assets			
Inventories	16	859,404	804,627
Trade and other receivables	17	2,918,705	2,748,630
Current tax recoverable	9(c)	53,860	30,790
Cash and cash equivalents	25(b)	14,826	29,927
		3,846,795	3,613,974
TOTAL ASSETS		7,889,496	6,840,055
EQUITY AND LIABILITIES			
Capital and reserves (Page 33)			
Issued capital	18(a)	126,563	126,563
Share premium		545	545
Revaluation reserve	18(b)	925,556	925,556
Retained earnings		1,398,007	1,381,874
Foreign currency translation reserve	18(c)	(35,066)	(22,101)
Total equity attributable to equity holders of the company		2,415,605	2,412,437
Non-controlling interest		676,272	654,101
Total equity		3,091,877	3,066,538
Non-current liabilities			
Bank loans and borrowings	19(a)	750,404	369,684
Liability for staff gratuity	20	22,045	19,595
Deferred tax liability	21(a)	731,481	607,340
		1,503,930	996,619
Current liabilities			
Bank overdraft	25(b)	307,652	91,366
Trade and other payables	22	1,196,681	1,067,185
Current income tax payable	9(c)	19,374	40,760
Shareholders loan	24(e)	326,152	-
Short-term portion of bank loan	19(a)	1,279,930	1,476,337
Dividends payable	23	163,900	101,250
		3,293,689	2,776,898
TOTAL EQUITY AND LIABILITIES		7,889,496	6,840,055

The financial statements on pages 29 to 62 were approved by the Board of Directors on 10 February 2015 and were signed on its behalf by:

Director:



Director:



The notes set out on pages 35 to 62 form an integral part of the financial statements

COMPANY STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2014

	Notes	2014 KShs'000	2013 KShs'000
ASSETS			
Non-current assets			
Property, plant and equipment	11	2,483,794	1,650,190
Prepaid operating lease rentals	12	98,522	102,294
Investment property	13	75,000	75,000
Intangible assets	14	3,156	1,925
Investment in subsidiary	15	115,037	115,037
		2,775,509	1,944,446
Current assets			
Inventories	16	594,964	559,841
Trade and other receivables	17	2,444,494	2,297,782
Current tax recoverable	9(c)	53,860	30,790
Cash and cash equivalents		5,313	24,227
		3,098,631	2,912,640
TOTAL ASSETS		5,874,140	4,857,086
EQUITY AND LIABILITIES			
Capital and reserves (Page 34)			
Issued capital	18(a)	126,563	126,563
Share premium		545	545
Revaluation reserve	18(b)	561,992	561,992
Retained earnings		1,204,942	1,230,691
		1,894,042	1,919,791
Non-current liabilities			
Bank loan	19(b)	746,067	366,144
Liability for staff gratuity	20	13,393	11,102
Deferred tax liability	21(b)	453,183	334,156
		1,212,643	711,402
Current liabilities			
Bank overdraft		289,847	70,648
Trade and other payables	22	1,002,637	840,462
Shareholders loan	24(e)	326,152	-
Short-term portion of bank loans and borrowings	19(b)	984,919	1,213,533
Dividend payable	23	163,900	101,250
		2,767,455	2,225,893
TOTAL EQUITY AND LIABILITIES		5,874,140	4,857,086

The financial statements on pages 29 to 62 were approved by the Board of Directors on 10 February 2015 and were signed on its behalf by:

Director:



Director:



The notes set out on pages 35 to 62 form an integral part of the financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2014

	Notes	2014 KShs'000	2013 KShs'000
Cash generated from operations	25(a)	568,416	(150,649)
Income taxes paid	9(c)	(98,026)	(230,701)
Cash generated from operating activities		470,390	(381,350)
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of property, plant and equipment	11(a)	(962,789)	(189,056)
Purchase of intangible assets	14	(3,253)	-
Cash used in investing activities		(966,042)	(189,056)
CASH FLOWS FROM FINANCING ACTIVITIES			
Bank loans and borrowings received	19(c)	3,367,518	3,467,711
Repayment of bank loans and borrowings	19(c)	(3,183,205)	(2,750,629)
Shareholders loan received	24(e)	326,152	-
Interest paid on bank loans and borrowings		(30,412)	(42,264)
Dividends paid		(215,788)	(183,890)
Cash used in financing activities		264,265	490,928
Net decrease in cash and cash equivalents		(231,387)	(79,478)
Cash and cash equivalents at 1 January		(61,439)	18,039
Cash and cash equivalents at 31 December	25(b)	(292,826)	(61,439)

The notes set out on pages 35 to 62 form an integral part of these financial statements.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2014

	Share capital KShs '000	Share premium KShs '000	Revaluation reserve KShs '000	Retained earnings KShs '000	Foreign currency translation reserve KShs'000	Total equity attributable to equity holders of company KShs'000	Non-controlling interest KShs'000	Total equity KShs'000
2013:								
Balance at 1 January 2013	126,563	545	925,556	1,288,584	(18,533)	2,322,715	602,314	2,925,029
Comprehensive income for the year								
Profit for the year	-	-	-	346,415	-	346,415	51,787	398,202
Other comprehensive income								
Foreign currency translation differences on foreign operations	-	-	-	-	(3,568)	(3,568)	-	(3,568)
Total comprehensive income for the year	-	-	-	346,415	(3,568)	342,847	51,787	394,634
Contributions by and distributions to owners								
Dividend - 2012 paid	-	-	-	(151,875)	-	(151,875)	-	(151,875)
Interim dividend for 2013 transferred to dividend payable	-	-	-	(101,250)	-	(101,250)	-	(101,250)
Total distribution to owners of the company	-	-	-	(253,125)	-	(253,125)	-	(253,125)
Balance at 31 December 2013	126,563	545	925,556	1,381,874	(22,101)	2,412,437	654,101	3,066,538
2014:								
Balance at 1 January 2014	126,563	545	925,556	1,381,874	(22,101)	2,412,437	654,101	3,066,538
Comprehensive income for the year								
Profit for the year	-	-	-	294,571	-	294,571	46,578	341,149
Other comprehensive income								
Foreign currency translation differences on foreign operations	-	-	-	-	(12,965)	(12,965)	(24,407)	(37,372)
Total comprehensive income for the year	-	-	-	294,571	(12,965)	281,606	22,171	303,777
Contributions by and distributions to owners								
Dividend - 2013 paid	-	-	-	(151,875)	-	(151,875)	-	(151,875)
Interim dividend for 2014 transferred to dividend payable	-	-	-	(126,563)	-	(126,563)	-	(126,563)
Total distribution to owners of the company	-	-	-	(278,438)	-	(278,438)	-	(278,438)
Balance at 31 December 2014	126,563	545	925,556	1,398,007	(35,066)	2,415,605	676,272	3,091,877

The notes set out on pages 35 to 62 form an integral part of these financial statements.

COMPANY STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2014

	Share capital KShs '000	Share premium KShs '000	Revaluation reserve KShs '000	Retained earnings KShs '000	Total KShs'000
2013:					
Balance at 1 January 2013	126,563	545	561,992	1,180,816	1,869,916
Comprehensive income for the year					
Profit for the year	-	-	-	303,863	303,863
Other comprehensive income					
Foreign currency translation differences for foreign operations	-	-	-	(863)	(863)
Total comprehensive income for the year	-	-	-	303,000	303,000
Contributions by and distributions to owners					
Dividend – 2012 paid	-	-	-	(151,875)	(151,875)
Interim dividends for 2013 transferred to dividend payable	-	-	-	(101,250)	(101,250)
Total distribution to owners of the company	-	-	-	(253,125)	(253,125)
Balance at 31 December 2013	126,563	545	561,992	1,230,691	1,919,791
2014:					
Balance at 1 January 2014	126,563	545	561,992	1,230,691	1,919,791
Comprehensive income for the year					
Profit for the year	-	-	-	251,840	251,840
Other comprehensive income					
Foreign currency translation differences for foreign operations	-	-	-	849	849
Total comprehensive income for the year	-	-	-	252,689	252,689
Contributions by and distributions to owners					
Dividend – 2013 paid	-	-	-	(151,875)	(151,875)
Interim dividends for 2014 transferred to dividend payable	-	-	-	(126,563)	(126,563)
Total distribution to owners of the company	-	-	-	(278,438)	(278,438)
Balance at 31 December 2014	126,563	545	561,992	1,204,942	1,894,042

The notes set out on pages 35 to 62 form an integral part of these financial statements.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

1. REPORTING ENTITY

East African Cables Limited ("the Company") is a limited liability company incorporated in Kenya under the Kenyan Companies Act, and is domiciled in Kenya. The consolidated financial statements as at and for the year ended 31 December 2014 comprise the company and its subsidiaries (together referred to as the "Group"). The Group primarily is involved in the manufacture and sale of electrical cables and conductors.

The address of its registered office and principal place of business is as follows:

East African Cables Limited
Industrial Area
Addis Ababa Road
P O Box 18243 - 00500
Nairobi

2. BASIS OF PREPARATION

(a) Statement of compliance

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRSs) and the Kenyan Companies Act.

For Kenyan Companies Act reporting purposes, the balance sheet is represented by the statement of financial position and the profit and loss account by the statement of comprehensive income.

(b) Basis of measurement

The consolidated financial statements have been prepared on the historical cost basis as modified by revaluation of certain property, plant and equipment, and investment property which is measured at fair value.

(c) Functional and presentation currency

These consolidated financial statements are presented in Kenya shillings (KShs), which is the Company's functional and presentation currency. All financial information presented has been rounded to the nearest thousand ("KShs'000") except where otherwise indicated.

(d) Use of estimates and judgements

The preparation of financial statements in conformity with IFRSs requires management to make judgement, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reported period. The estimates and assumptions are based on the Directors' best knowledge of current events, actions, historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about the carrying values of assets and liabilities are not readily apparent from other sources. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

Specifically, critical judgements, assumptions and estimation uncertainties are required in the following:

(i) Consolidation

Judgement is required on whether the group has defacto control over an investee (Note 3(b)(ii)). Judgement is also made during acquisition of subsidiaries where fair value is measured on a provisional basis.

(ii) Lease classification

Judgement is required in assessing classification of leases into either finance or operating leases, and in reviewing whether arrangements contain a lease (Note 3(f)).

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

2. BASIS OF PREPARATION (CONTINUED)

(d) Use of estimates and judgements (continued)

(iii) Employee benefits

Certain assumptions are made when estimating employee benefits liabilities under gratuity schemes (Note 3(h)).

(iv) Taxation

Recognition of deferred tax assets requires assessment of future taxable profits against which carry forward tax losses can be used (Note 3(i)).

(v) Impairment tests

Key assumptions underlying recoverable amounts are made in determining carrying amounts of goodwill, receivables, investments in subsidiaries, tangible and intangible assets, investment properties etc, especially where indicators of impairment exist (Note 3(m)).

(vi) Recognition and measurement of contingencies

Key assumptions are made about the likelihood and magnitude of an outflow of resources

3. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these financial statements:

(a) Revenue recognition

(i) Sale of goods

Revenue from the sale of goods is measured at the fair value of the consideration receivable, net of value added taxes, returns, trade discounts and volume rebates. Revenue is recognised when the significant risk and rewards of ownership have been transferred to the buyer, recovery of the consideration is probable, the associated costs and possible return of goods can be estimated reliably, there is no continuing management involvement with the goods, and the amount of revenue can be measured reliably.

Transfers of risks and rewards vary depending on the individual terms of the contract of sale, which in most cases occurs on delivery of products.

(ii) Rental income

Rental income on the investment property is recognised in profit or loss on a straight line basis over the term of the lease. Rental income is presented in other income.

(b) Consolidation principles

(i) Subsidiaries

The consolidated financial statements include the Company (which also includes a branch in Uganda) and its subsidiaries, East African Cables (Tanzania) Company Limited in which the Group holds 51% of the voting rights and Yana Trading Company Limited in which the company holds 100% voting rights (refer to Note 15).

Subsidiaries are entities controlled by the Company. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date on which control ceases.

In the company financial statements the investment in subsidiary is carried at cost and assessed for impairment at each reporting date.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(b) Consolidation principles (continued)

(ii) Transactions eliminated on consolidation

All intra-group balances and any unrealised gains and losses or income and expenses arising from intra-group balances, are eliminated in preparing consolidated financial statements.

(iii) Business combinations

All business combinations are accounted for by applying the acquisition method. Goodwill represents the difference between the cost of acquisition and the fair value of the net identifiable assets acquired.

A gain arising on a bargain acquisition is recognised directly in profit or loss.

(c) Foreign currencies

(i) Foreign currency transaction

Transactions in foreign currencies during the year are converted into Kenya Shillings at the exchange rate ruling at the date of the transaction. Foreign currency monetary assets and liabilities are translated at the exchange rate ruling at the reporting date. Resulting exchange differences are recognised in profit or loss.

Non-monetary assets and liabilities measured at historical cost denominated in foreign currency are translated at the exchange rate ruling at the date of transaction.

(ii) Foreign operations

The assets and liabilities of foreign operations (which includes subsidiaries and branches), including fair value adjustments arising on consolidation, are translated to Kenya Shillings at foreign exchange rates ruling at the reporting date. The revenues and expenses of foreign operations are translated to Kenya Shillings at rates approximating the foreign exchange rates ruling at the dates of transaction. Foreign exchange differences arising on translation are recognised through other comprehensive income and accumulated as a separate component of equity (foreign currency translation reserve) until the disposal of the foreign operation.

(d) Property, plant and equipment

(i) Recognition and measurement

Items of property, plant and equipment are measured at cost or at the revalued amount (as appropriate) less accumulated depreciation and impairment losses.

Cost includes expenditures that are directly attributable to the acquisition of the asset. When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

The gain or loss on disposal of an item of property, plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of the property, plant and equipment and is recognised net within profit or loss and presented within other income/expense.

When revalued assets are sold, any related amount included in the revaluation reserve is transferred to retained earnings.

(ii) Subsequent costs

The cost of replacing part of an item of property or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The costs of the day-to-day servicing of property and equipment are recognised in profit or loss as incurred.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(d) Property, plant and equipment (continued)

(iii) Depreciation

Depreciation is based on the cost of an asset less its residual value. Depreciation is charged on a straight-line basis over the estimated useful lives of the assets. The annual rates of depreciation used are as follows:

Freehold land	Nil
Freehold buildings	2%
Leasehold buildings	Over the shorter of the lease period and the asset's useful life
Plant and machinery	5% - 12.5%
Computers	33.3%
Motor vehicles	25%
Furniture, fittings and equipment	12.5% - 33.3%

Construction work-in-progress is not depreciated.

The assets' residual values, useful lives and depreciation methods are reviewed and adjusted as appropriate at each reporting date.

(iv) Reclassification to investment property

When the use of a property changes from owner-occupied to investment property, the property is reclassified as investment property and re-measured to fair value. Any gain arising on re-measurement is recognised in profit or loss to the extent that it reverses a previous impairment loss on the specific property, with any remaining gain recognised in equity. Any loss is recognised immediately in profit or loss.

(e) Investment properties

Investment property is property held either to earn rental income or for capital appreciation or both, but not for sale in the ordinary course of business, use in production or supply of goods and services or for administrative purposes.

Any gain or loss on disposal of an investment property (calculated as the difference between the net proceeds from disposal and the carrying amount of an item) is recognised in profit or loss. When an investment property that was previously classified as property, plant and equipment is sold, any related amount included in the revaluation reserve is transferred to retained earnings.

Investment properties are measured at fair value. External valuations are obtained on such a basis as to ensure that substantially all properties are valued once every three years. In the event of a material change in market conditions between the valuation date and the reporting date an internal valuation is performed and adjustments made to reflect any material changes in value.

Surpluses and deficits arising from changes in fair value are recognised in profit or loss for the year.

(f) Leases

Leases where a significant portion of the risks and rewards of ownership are retained by the lessor, are classified as operating leases. Payments made under operating leases are charged to profit or loss on a straight-line basis over the period of the lease.

Leases in terms of which the Group assumes substantially all the risks and rewards of ownership are classified as finance leases. Upon initial recognition the leased asset is measured at an amount equal to the lower of its fair value and the present value of the minimum lease payments. Subsequent to initial recognition, the asset is accounted for in accordance with the accounting policy applicable to that asset.

Investment property held under an operating lease is recognised in the Group's statement of financial position at its fair value. Proceeds under these leases are recognised in the profit or loss.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(g) Inventories

Work in progress and manufactured finished goods are valued at production cost including direct costs (cost of materials and labour), an appropriate proportion of production overheads and factory depreciation and other costs incurred in bringing the inventories to their present location and condition. The cost of stocks is based on the weighted average principle.

If the purchase or production cost is higher than net realisable value, inventories are written down to net realisable value. Purchase cost relates to the purchase of raw materials. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

(h) Employee benefits

(i) Defined contribution plan

Non-unionisable employees of the Group are eligible for retirement benefits under a defined contribution plan provided through a separate fund arrangement.

Contributions to the defined contribution plan are recognised in profit or loss as incurred. The Group has no further obligation once the contributions have been paid.

(ii) Staff gratuity

Unionisable employees of the company are eligible to a gratuity upon retirement based on 16 days pay if an employee has served 1-5 years, 20 days pay if an employee has served 6-10 years and 23 days pay if an employee has served 11 years and above. The calculation of gratuity liability is performed annually by a qualified actuary.

Unionisable employees of East African Cables (Tanzania) Limited are eligible to a gratuity upon retirement based on two months salary for each complete year of service at current salary; the employee's age must also exceed 49 years at the time of retirement. A liability is recognised in the financial statements for estimated amount of such gratuity payable. Gratuity is computed at current salary. Movements in the liability are recognised in profit or loss.

(iii) Leave accrual

The monetary value of the unutilised leave by staff as at year end is carried in the accruals as a payable and the movement in the year is recognised in profit or loss.

(iv) Termination benefits

Termination benefits are recognised as an expense when the Group is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised as an expense if the Group has made an offer encouraging voluntary redundancy, it is probable that the offer will be accepted, and the number of acceptances can be estimated reliably.

(i) Taxation

Income tax comprises current tax and change in deferred tax. Income tax expense is recognised in profit or loss except to the extent that it relates to items recognised directly in other comprehensive income or directly in equity, in which case it is recognised in other comprehensive income or in equity respectively.

Current tax is provided on the results in the year as shown in the financial statements adjusted in accordance with tax legislation.

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the following temporary differences: the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss, and differences relating to investments in subsidiaries and jointly controlled entities to the extent that it is probable that they will not reverse in the foreseeable future. In addition, deferred tax is not recognised for taxable temporary differences arising on the initial recognition of goodwill.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(i) *Taxation (continued)*

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously. A deferred tax asset is recognised for unused tax losses, tax credits and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

(j) **Related party transactions**

The group discloses the nature, volume and terms and conditions of amounts outstanding at the end of each financial year from transactions with related parties, which include transactions with the directors, executive officers and group or related companies.

(k) **Dividends**

Dividends are recognised as a liability in the period in which they are declared. Withholding tax is withheld for all cases where the percentage of ownership is less than 12.5%. Proposed dividends are disclosed on Note 18(d).

(l) **Financial instruments**

A financial instrument is a contract that gives rise to both a financial asset of one enterprise and a financial liability of another enterprise. The Group initially recognises loans and receivables on the date that they are originated and financial liabilities on the date that they are originated.

Management determines the appropriate classification of its financial instruments at the time of purchase and re-evaluates its portfolio every reporting date to ensure that all financial instruments are appropriately classified. The re-classification of financial assets is only permitted in certain instances.

The Group's financial instruments are classified as loans and receivables and financial liabilities at amortised cost.

Financial instruments, not measured at fair value through profit or loss, are measured initially at cost, including transaction costs.

Loans and receivables are financial assets with fixed or determinable payments that are not quoted in an active market. Subsequent to initial recognition, loans and receivables are measured at amortised cost using the effective interest method, less any impairment losses.

Loans and receivables comprise trade and other receivables and cash and cash equivalents.

Financial liabilities at amortised cost are subsequently measured at amortised cost using the effective interest method. These financial liabilities comprise of loans and borrowings, trade and other payables and bank overdrafts.

Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as a component of cash and cash equivalents for the purpose of the statement of cash flows.

A financial asset is derecognised when the contractual rights from the financial asset expire or it transfers the rights to receive the contractual cash flows on the financial asset transferred.

A financial liability is derecognised when its contractual obligations are discharged, cancelled or expire.

Financial assets and liabilities are offset and the net amount reported on the statement of financial position when there is a legally enforceable right to offset the recognised amount and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(l) Financial instruments (continued)

(i) Accounting classifications and fair values for financial assets and liabilities

The table below sets out the carrying amounts of each class of financial assets and liabilities, and their fair values:

	Loans and Receivables KShs'000	Available -for-sale KShs'000	Other liabilities KShs'000	Total carrying amount KShs'000	Fair value KShs'000
31 December 2014:					
Assets					
Trade receivables	2,717,139	-	-	2,717,139	2,717,139
Cash and bank balances	14,826	-	-	14,826	14,826
Total assets	2,731,965	-	-	2,731,965	2,731,965
Liabilities					
Bank overdraft	-	-	307,652	307,652	307,652
Bank loans and borrowings	-	-	2,030,334	2,030,334	2,030,334
Trade payables	-	-	1,160,339	1,160,339	1,160,339
Total liabilities	-	-	3,498,325	3,498,325	3,498,325
31 December 2013:					
Assets					
Trade receivables	2,257,826	-	-	2,257,826	2,257,826
Cash and bank balances	29,927	-	-	29,927	29,927
Total assets	2,287,753	-	-	2,287,753	2,287,753
Liabilities					
Bank overdraft	-	-	91,366	91,366	91,366
Bank loans and borrowings	-	-	1,846,021	1,846,021	1,846,021
Trade payables	-	-	1,003,574	1,003,574	1,003,574
Total liabilities	-	-	2,940,961	2,940,961	2,940,961

The fair values for financial instruments such as trade receivables, cash and bank balances, and trade payables carrying amounts are a reasonable approximation of fair values.

(ii) Valuation hierarchy

The fair value of investment property was determined by external, independent property valuers, having appropriate recognized professional qualifications and experience in the location and category of the property being valued.

The table below shows the classification of investment property held at fair value into the valuation hierarchy set out below as at 31 December 2014 and 31 December 2013:

	Level 1 KShs'000	Level 2 KShs'000	Level 3 KShs'000	Total KShs'000
31 December 2014:				
Investment property	-	348,299	-	348,299
31 December 2013:				
Investment property	-	282,868	-	282,868

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(l) Financial instruments (continued)

(iii) Valuation techniques and significant unobservable inputs

Type	Investment property
Valuation technique	The investment properties comprise of residential houses that have been leased to third parties and are carried at fair value. The investment properties of the parent company were revalued in 2012 while the subsidiary's, East African Cables (Tanzania) Limited, were revalued in 2014 by Lloyd Masika Limited, a firm of independent professional valuers on the basis of open market value for existing use. The open market values are the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably and willingly. The resulting fair value change is dealt with through profit or loss.
Significant unobservable inputs	The property owned by the parent company is a residential house located in the Lavington area of Nairobi City while the properties in Tanzania are also residential houses located in Dar-es Salaam City.
Inter-relationship between significant unobservable inputs and fair value measurement	Due to their prime locations, both properties attract high rent and appreciation in market values.

(m) Impairment

(i) Financial assets

At each reporting date the Group assesses whether there is objective evidence that financial assets not carried at fair value through profit or loss are impaired. Financial assets are impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset, and that the loss event has an impact on the future cash flows on the asset than can be estimated reliably.

Objective evidence that financial assets are impaired can include default or delinquency by a debtor, restructuring of an amount due to the Group on terms that the Group would not consider otherwise, indications that a debtor or issuer will enter bankruptcy, adverse changes in the payment status of borrowers or issuers in the Group, economic conditions that correlate with defaults or the disappearance of an active market for a security.

The Group considers evidence of impairment for loans and receivables at a both a specific asset and collective level. All individually significant receivables are assessed for specific impairment. All individually significant loans and receivables found not to be specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified. Loans and receivables that are not individually significant are collectively assessed for impairment by grouping together loans and receivables with similar risk characteristics.

In assessing collective impairment the Group uses historical trends of the probability of default, the timing of recoveries and the amount of loss incurred, adjusted for management's judgement as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical trends.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. Losses are recognised in profit or loss and reflected in an allowance account against loans and receivables.

When a subsequent event (e.g. repayment by a debtor) causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(m) Impairment (continued)

(ii) Non financial assets

The carrying amounts of the Group's non-financial assets, other than investment properties, inventories and deferred tax assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists then the asset's recoverable amount is estimated.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. A cash-generating unit is the smallest identifiable asset group that generates cash flows that largely are independent from other assets and groups. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of cash-generating units are allocated first reduce the carrying amount of any goodwill allocated to the cash generating unit and then to reduce the carrying amounts of the other assets in the unit (group of units) on a pro rata basis.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Impairment losses in respect of goodwill are not reversed.

(n) Intangible assets

Acquired computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use the specific software and are measured at cost less accumulated amortisation and accumulated impairment losses.

Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is recognised in profit or loss as incurred.

Amortisation is based on the cost of an asset less its residual value. Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful lives (3 years) of intangible assets.

Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

(o) Provisions

A provision is recognised in the statement of financial position when the company has a legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation. If the effect is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

(p) Finance income and expenses

Finance income and expenses comprise interest expense on borrowings and foreign currency losses. Borrowing costs, not relating to qualifying assets, are recognised in profit or loss using the effective interest rate. Foreign exchange gains and losses are reported on a gross basis.

(q) Segmental reporting

The Group determines and presents operating segments based on the information that internally is provided to the Group Chief Executive Officer (CEO), who is the Group's chief operating decision maker.

The Group has three reportable segments which are the Group's geographic locations. The geographic locations offer similar products to different markets and are managed separately because they require different marketing strategies.

The CEO reviews the internal management reports on each of the segments on a monthly basis. The performance of each segment is measured on segment profit as included in the management report. Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of the businesses.

Specific segmental information is disclosed in Note 30.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(r) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

(s) Comparative information

Where necessary, comparative figures have been represented to conform with changes in presentation in the current year.

(t) New standards and interpretations adopted

(i) Standards, amendments and interpretations to existing standards effective in 2014

- Amendments to IAS 32: 'Offsetting Financial Assets and Financial Liabilities (effective 1 January 2014). The amendments clarify the offsetting criteria in IAS 32 by explaining when an entity currently has a legally enforceable right to set-off and when gross settlement is equivalent to net settlement.
The adoption of the amendments did not have a significant impact on the financial statements of the Group.
- Amendments to IFRS 10, IFRS 12 and IAS 27: 'Investment entities' (effective 1 January 2014). The amendments clarify that a qualifying investment entity is required to account for investments in controlled entities, as well as investments in associates and joint ventures, at fair value through profit or loss; the only exception would be subsidiaries that are considered an extension of the investment entity's investment activities. The consolidation exemption is mandatory and not optional. The adoption of the amendments did not have a significant impact on the financial statements of the Group.
- Amendments to IAS 36: 'Recoverable Amount Disclosures for Non-Financial Assets' (effective 1 January 2014). The amendments reverse the unintended requirement in IFRS 13 Fair Value Measurement to disclose the recoverable amount of every cash-generating unit to which significant goodwill or indefinite-lived intangible assets have been allocated. Under the amendments, the recoverable amount is required to be disclosed only when an impairment loss has been recognised or reversed.
The adoption of the amendments did not have a significant impact on the financial statements of the Group.
- Amendments to IAS 39: "Novation of Derivatives and Continuation of Hedge Accounting" (effective 1 January 2014). The amendments permit the continuation of hedge accounting in a situation where a counterparty to a derivative designated as a hedging instrument is replaced by a new central counterparty (known as 'novation of derivatives'), as a consequence of laws or regulations, if specific conditions are met.
The adoption of the amendments did not have a significant impact on the financial statements of the Group.
- IFRIC 21: 'Levies' (effective 1 January 2014). IFRIC 21 defines a levy as an outflow from an entity imposed by a government in accordance with legislation. It confirms that an entity recognises a liability for a levy when – and only when – the triggering event specified in the legislation occurs.
The adoption of the amendments did not have a significant impact on the financial statements of the Group.

(ii) Standards, amendments and interpretations to existing standards that are effective and have been early adopted by the Group

The Group's and parent entity's assessment of the impact of these new standards and interpretations is set out below:

- Amendments to IAS 19: Defined benefit plans – Employee contributions.
The amendments introduce relief that will reduce the complexity and burden of accounting for certain contributions from employees or third parties. Such contributions are eligible for practical expedient if they are:
 - set out in the formal terms of the plan;
 - linked to service; and
 - independent of the number of years of service.

When contributions are eligible for the practical expedient, a company is permitted (but not required) to recognise them as a reduction of the service cost in the period in which the related service is rendered.

The adoption of these changes did not affect the amounts and disclosures of the Group's defined benefits obligations.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(t) New standards and interpretations adopted (continued)

(iii) Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group

- Amendments to IFRS 10 and IAS 28: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture (effective 1 January 2016). The amendments address an acknowledged inconsistency between the requirements in IFRS 10 and those in IAS 28 (2011), in dealing with the sale or contribution of assets between an investor and its associate or joint venture.
The main consequence of the amendments is that a full gain or loss is recognised when a transaction involves a business (whether it is housed in a subsidiary or not). A partial gain or loss is recognised when a transaction involves assets that do not constitute a business, even if these assets are housed in a subsidiary.
- Amendments to IFRS 11: 'Accounting for Acquisitions of Interests in Joint Operations' (effective 1 January 2016). The amendments require business combination accounting to be applied to acquisitions of interests in a joint operation that constitutes a business.
Business combination accounting also applies to the acquisition of additional interests in a joint operation while the joint operator retains joint control. The additional interest acquired will be measured at fair value. The previously held interest in the joint operation will not be remeasured.
- Amendments to IAS 16 and IAS 41: 'Bearer Plants' (effective 1 January 2016). Bearer Plants (Amendments to IAS 16 and IAS 41) was issued in June 2014. The amendments change the financial reporting requirements for bearer plants such as grape vines, rubber trees and oil palms. The amendment requires that bearer plants should be accounted for in the same way as property, plant and equipment in IAS 16 Property, Plant and Equipment, instead of IAS 41 while the produce growing on bearer plants will remain within the scope of IAS 41.
- Amendments to IAS 16 and IAS 38: 'Clarification of Acceptable Methods of Depreciation and Amortisation' (effective 1 January 2016). The amendments to IAS 16 Property, Plant and Equipment explicitly state that revenue-based methods of depreciation cannot be used for property, plant and equipment.
The amendments to IAS 38 Intangible Assets introduce a rebuttable presumption that the use of revenue-based amortisation methods for intangible assets is inappropriate. The presumption can be overcome only when revenue and the consumption of the economic benefits of the intangible asset are 'highly correlated', or when the intangible asset is expressed as a measure of revenue.
- Amendments to IAS 27: 'Equity Method in Separate Financial Statements' (effective 1 January 2016). The amendments allow the use of the equity method in separate financial statements, and apply to the accounting not only for associates and joint ventures but also for subsidiaries.
- IFRS 14: "Regulatory Deferral Accounts" (effective 1 January 2016). This standard provides guidance on accounting for regulatory deferral account balances by first-time adopters of IFRS. To apply this standard, the entity has to be rate-regulated i.e. the establishment of prices that can be charged to its customers for goods and services is subject to oversight and/or approval by an authorised body.
- IFRS 15: Revenue from Contracts with Customers (effective 1 January 2017). This standard specifies how and when an IFRS reporter will recognise revenue as well as requiring such entities to provide users of financial statements with more informative, relevant disclosures. The standard provides a single, principles based five-step model to be applied to all contracts with customers in recognising revenue being: Identify the contract(s) with a customer; Identify the performance obligations in the contract; Determine the transaction price; Allocate the transaction price to the performance obligations in the contract; and recognise revenue when (or as) the entity satisfies a performance obligation.
- IFRS 9: "Financial Instruments (2014)" (effective 1 January 2018). On 24 July 2014 the IASB issued the final IFRS 9 Financial Instruments Standard, which replaces earlier versions of IFRS 9 and completes the IASB's project to replace IAS 39 Financial Instruments: Recognition and Measurement.
This standard introduces changes in the measurement bases of the financial assets to amortised cost, fair value through other comprehensive income or fair value through profit or loss. Even though these measurement categories are similar to IAS 39, the criteria for classification into these categories are significantly different. In addition, the IFRS 9 impairment model has been changed from an "incurred loss" model from IAS 39 to an "expected credit loss" model.

The Group is currently in the process of evaluating the potential effect of these standards.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

4. REVENUE, OTHER INCOME AND EXPENSES

(a) Revenue

Sale of electrical cables and conductors

(b) Other income

Fair value gain on investment property (Note 13)

Rental income

(c) Expenses by nature

Raw materials and consumables

Employee benefits and other staff costs (Note 5)

Electricity expenses

Repairs and maintenance

Professional and consultancy costs

Vehicle expenses

Other expenses

Comprising of:

Cost of sales

Factory expenses

Administrative expenses

Distribution costs

2014 KShs '000	2013 KShs '000
5,098,417	4,502,964
71,267	-
8,621	4,203
79,888	4,203
3,699,787	3,063,067
260,220	227,182
100,598	84,327
38,371	40,006
25,493	30,415
16,831	11,195
276,964	289,189
4,418,264	3,745,381
3,778,927	3,131,473
227,259	213,092
262,783	233,529
149,295	167,277
4,418,264	3,745,371

5. STAFF COSTS

Direct labour

Indirect factory salaries

Administration salaries and wages

Distribution salaries and wages

Pension contributions

2014 KShs '000	2013 KShs '000
79,140	68,417
42,844	45,788
86,413	71,590
37,102	29,145
14,721	12,242
260,220	227,182

6. DEPRECIATION AND AMORTISATION

Depreciation

Amortisation of intangible assets

Amortisation of prepaid operating lease rentals

176,253	159,247
2,022	1,988
4,609	4,617
182,884	165,852

7. NET FINANCE COST

Finance income

Net gain on exchange

Finance cost

Interest expense

Net loss on exchange

10,392	40,720
(30,412)	(39,962)
(49,654)	(11,302)
(80,066)	(51,264)
(69,674)	(10,544)

Net finance cost

NOTES TO FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014

8. PROFIT BEFORE TAX

Profit before tax is arrived at after charging/(crediting):

	2014 KShs '000	2013 KShs '000
Depreciation expense (Note 11)	176,253	159,247
Amortisation of operating lease rentals (Note 12)	4,609	4,617
Amortisation of intangible assets (Note 14)	2,022	1,988
Interest expense (Note 7)	30,412	39,962
Directors' emoluments: - Fees (Note 24)	15,000	10,386
- Other (Note 24)	1,838	6,909
Auditors' remuneration	7,507	7,145
Write off of property, plant and equipment	1,497	1,628

9. INCOME TAX

(a) Income tax expense

Current tax expense – current year	35,221	183,187
Deferred tax charge (Note 21)	131,113	4,011
	166,334	187,198

(b) Tax reconciliation

The tax on the consolidated results differs from the theoretical amount using the basic tax rate as follows:

Profit before income tax	507,483	585,400
Tax calculated at the statutory income tax rate of 30%	152,245	175,620
Non-deductible costs	14,089	11,578
	166,334	187,198

(c) Current tax balances

	Group 2014 KShs'000	Group 2013 KShs' 000	Company 2014 KShs'000	Company 2013 KShs' 000
Balance as at 1 January	(9,970)	(145,610)	30,790	(41,695)
Impairment/(offset) during the year	(15,625)	86,484	(15,625)	-
Current tax charge	(35,221)	(183,187)	(4,040)	(128,540)
Paid during the year	98,026	230,701	42,735	199,980
Foreign exchange translation differences	(2,724)	1,642	-	1,045
Balance as at 31 December	34,486	(9,970)	53,860	30,790
Comprising of:				
Current tax recoverable	53,860	30,790	53,860	30,790
Current tax payable	(19,374)	(40,760)	-	-
	34,486	(9,970)	53,860	30,790

10. BASIC AND DILUTED EARNINGS PER SHARE

The calculation of basic and diluted earnings per share is based on:

	2014	2013
Profit attributable to ordinary shareholders (KShs'000)	294,571	346,415
Weighted average number of ordinary shares outstanding during the year	253,125,000	253,125,000
Basic and diluted earnings per share (KShs)	1.16	1.37

NOTES TO FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014

11. PROPERTY, PLANT AND EQUIPMENT

(a) Group

2014:

Cost or valuation:

	Leasehold buildings KShs'000	Plant and machinery KShs'000	Motor vehicles KShs'000	Furniture, fittings & equipment KShs'000	Construction work in progress KShs'000	Total KShs'000
At 1 January 2014	1,653,228	1,197,623	49,101	55,681	100,583	3,056,216
Additions	228,129	13,632	7,687	12,481	700,860	962,789
Transfers	257,045	353,531	-	-	(610,576)	-
Write-offs	-	(408)	(6,216)	(5,708)	-	(12,332)
Exchange differences	(21,777)	(4,593)	(1,437)	(2,335)	(188)	(30,330)

At 31 December 2014	2,116,625	1,559,785	49,135	60,119	190,679	3,976,343
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Depreciation:

	Leasehold buildings KShs'000	Plant and machinery KShs'000	Motor vehicles KShs'000	Furniture, fittings & equipment KShs'000	Construction work in progress KShs'000	Total KShs'000
At 1 January 2014	50,361	155,453	25,021	32,258	-	263,093
Charge for the year	49,782	109,822	9,221	7,428	-	176,253
Write-offs	-	(336)	(4,791)	(5,707)	-	(10,834)
Exchange differences	(1,164)	(483)	(199)	(256)	-	(2,102)

At 31 December 2014	98,979	264,456	29,252	33,723	-	426,410
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Net carrying value:

At 31 December 2014	2,017,646	1,295,329	19,883	26,396	190,679	3,549,933
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2013:

Cost or valuation:

	Leasehold buildings KShs'000	Plant and machinery KShs'000	Motor vehicles KShs'000	Furniture, fittings & equipment KShs'000	Construction work in progress KShs'000	Total KShs'000
At 1 January 2013	1,660,940	1,024,410	54,394	45,391	100,290	2,885,425
Additions	-	46,357	-	12,050	130,649	189,056
Transfers	1,697	128,441	-	187	(130,325)	-
Write-offs	-	(392)	(5,026)	-	-	(5,418)
Exchange differences	(9,409)	(1,193)	(267)	(1,947)	(31)	(12,847)

At 31 December 2013	1,653,228	1,197,623	49,101	55,681	100,583	3,056,216
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Depreciation:

	Leasehold buildings KShs'000	Plant and machinery KShs'000	Motor vehicles KShs'000	Furniture, fittings & equipment KShs'000	Construction work in progress KShs'000	Total KShs'000
At 1 January 2013	-	62,044	18,256	26,998	-	107,298
Charge for the year	50,102	93,329	10,494	5,322	-	159,247
Write-offs	-	(16)	(3,774)	-	-	(3,790)
Exchange differences	259	96	45	(62)	-	338

At 31 December 2013	50,361	155,453	25,021	32,258	-	263,093
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Net carrying value:

At 31 December 2013	1,602,867	1,042,170	24,080	23,423	100,583	2,793,123
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NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

11. PROPERTY, PLANT AND EQUIPMENT (CONTINUED)

(b) Company	Leasehold buildings KShs'000	Plant and machinery KShs'000	Motor vehicles KShs'000	Furniture, fittings & equipment KShs'000	Construction work in progress KShs'000	Total KShs'000
2014:						
Cost or valuation:						
At 1 January 2014	786,695	908,961	25,077	35,479	93,127	1,849,339
Additions	228,129	12,157	4,081	9,316	700,087	953,770
Transfers	257,046	353,531	-	-	(610,577)	-
Write-offs	-	(408)	(6,216)	(5,708)	-	(12,332)
At 31 December 2014	1,271,870	1,274,241	22,942	39,087	182,637	2,790,777
Depreciation:						
At 1 January 2014	15,700	141,081	19,230	23,138	-	199,149
Charge for the year	15,700	95,639	2,995	4,337	-	118,671
Write-offs	-	(336)	(4,794)	(5,707)	-	(10,837)
At 31 December 2014	31,400	236,384	17,431	21,768	-	306,983
Net carrying value: At 31 December 2014	1,240,470	1,037,857	5,511	17,319	182,637	2,483,794
2013:						
Cost or valuation:						
At 1 January 2013	784,998	748,208	28,637	30,054	97,485	1,689,382
Additions	-	32,704	-	5,238	125,967	163,909
Transfers	1,697	128,441	-	187	(130,325)	-
Write-offs	-	(392)	(3,560)	-	-	(3,952)
At 31 December 2013	786,695	908,961	25,077	35,479	93,127	1,849,339
Depreciation:						
At 1 January 2013	-	61,430	18,257	20,030	-	99,717
Charge for the year	15,700	79,667	4,533	3,108	-	103,008
Write-offs	-	(16)	(3,560)	-	-	(3,576)
At 31 December 2013	15,700	141,081	19,230	23,138	-	199,149
Net carrying value: At 31 December 2013	770,995	767,880	5,847	12,341	93,127	1,650,190

Revaluation

The buildings, plant and machinery of the company and the subsidiary, East African Cables (Tanzania) Limited, were revalued in December 2012 by Lloyd Masika Limited, a firm of independent professional valuers on the basis of open market value for existing use. The increase in net carrying value as a result of the revaluation is dealt with through other comprehensive income.

Security

At 31 December 2014, property with a carrying amount of KShs 1,120 million (2013 – KShs 870 million) are subject to a registered debenture to secure a bank loan facility for the company.

The subsidiary has charged property, plant and equipment of KShs 157 million equivalent (2013 – KShs 157 million).

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

12. PREPAID OPERATING LEASE RENTALS

Group:

Carrying value of leasehold land at 1 January
Amortisation for the year
Exchange adjustment

Balance at 31 December

Company:

Carrying value of leasehold land at 1 January
Amortisation for the year

Balance at 31 December

2014
KShs'000

148,010
(4,609)
(2,238)

141,163

2013
KShs'000

149,882
(4,617)
2,745

148,010

13. INVESTMENT PROPERTIES

Group:

At 1 January
Change in fair value
Exchange differences

At 31 December

Company:

At 1 January
Change in fair value

At 31 December

2014
KShs'000

282,868
71,267
(5,836)

348,299

2013
KShs'000

285,125
-
(2,257)

282,868

75,000
-

75,000

75,000
-

75,000

Investment properties comprise of residential houses that have been leased to third parties and are carried at fair value.

The investment properties of parent company was revalued in 2012 while the subsidiary's, East African Cables (Tanzania) Limited, were revalued in 2014 by Lloyd Masika Limited, a firm of independent professional valuers on the basis of open market value for existing use. The open market values are the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably and willingly. The resulting fair value change is dealt with through profit or loss.

14. INTANGIBLE ASSETS

Computer software:

Group:

Net carrying value at 1 January
Additions during the year
Amortisation for the year
Exchange adjustment

Net carrying value at 31 December

Company:

Net carrying value at 1 January
Additions during the year
Amortisation for the year

Net carrying value at 31 December

2014
KShs '000

2,080
3,253
(2,022)
(5)

3,306

2013
KShs '000

4,069
-
(1,988)
(1)

2,080

1,925
3,253
(2,022)

3,156

3,913
-
(1,988)

1,925

NOTES TO FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014

15. INVESTMENT IN SUBSIDIARY COMPANY

East African Cables (Tanzania) Limited

2014
KShs '000

115,037

2013
KShs '000

115,037

On 31 October 2005, the Company purchased 51% of the share capital of East African Cables (Tanzania) Limited, a company incorporated in Tanzania.

The company also owns Yana Trading Limited a company incorporated in South Africa which is dormant.

The overall results of operations for the subsidiary, East African Cables (Tanzania) Limited is as follows:

	2014 KShs '000	2013 KShs '000
Revenue for the year ended 31 December	1,325,701	1,343,877
Profit after tax for the year ended 31 December	95,894	106,533

16. INVENTORIES

Group

Finished goods

Raw materials

Work in progress

Strategic spares and lubricants

Stationery and printing

2014
KShs '000

370,702

206,546

180,488

96,878

4,790

859,404

2013
KShs '000

403,155

190,478

127,470

79,854

3,670

804,627

Company

Finished goods

Raw materials

Work in progress

Strategic spares and lubricants

Stationery and printing

240,248

156,304

134,527

62,047

1,838

594,964

276,115

148,095

82,788

51,340

1,503

559,841

17. TRADE AND OTHER RECEIVABLES

Group

Trade receivables (Note 27 (a))

Prepaid expenses

Due from related parties (Note 24 (c))

Prepayments for machinery & spares

2014
KShs '000

2,717,139

105,314

44,748

51,504

2,918,705

2013
KShs '000

2,257,826

74,155

166,597

250,052

2,748,630

Company

Trade receivables

Prepaid expenses

Prepayments for machinery & parts

Due from subsidiary (Note 24 (c))

Due from other related parties (Note 24 (c))

1,803,509

95,563

34,085

473,681

37,656

2,444,494

1,430,089

2,660

250,052

448,384

166,597

2,297,782

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

18. CAPITAL AND RESERVES

(a) Share capital

Group and Company:
Authorised, issued and fully paid:

Ordinary shares of KShs 0.50 each
at 1 January and 31 December

2014 Number of shares (Thousands)	2014 KShs'000	2013 Number of shares (Thousands)	2013 KShs'000
253,125	126,563	253,125	126,563

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at general meetings of the company.

(b) Revaluation reserve

The revaluation reserve related to the revaluation of property, plant and equipment and investment property revaluation prior to transfer on reclassification as investment property. The revaluation reserve is stated net of the associated deferred tax and is not available for distribution as dividends.

(c) Foreign currency translation reserve

The foreign currency translation reserve comprises all foreign currency differences arising from the translation of the financial statement of foreign operations, which include subsidiaries and branches.

(d) Dividend per share

The directors have proposed the payment of a final dividend of KShs 0.50 per share in respect of the year ended 31 December 2014. This together with the interim dividend of KShs 0.50 per share paid in January 2015 brings the total dividend to KShs 1.00 (2013 – KShs 1.00) per share. The dividend will be paid less withholding tax where applicable

19. BANK LOANS & BORROWINGS

(a) Group

Bank loan:

Standard Chartered Bank Kenya Limited
Standard Chartered Bank Tanzania Limited
Kenya Commercial Bank Tanzania Limited
Ecobank Kenya Limited
Chase Bank Kenya Limited

2014 KShs'000	2013 KShs'000
1,580,005	1,413,102
295,011	252,186
4,337	14,158
147,389	166,575
3,592	-
2,030,334	1,846,021

Comprising:

Non-current liability
Current liability

750,404	369,684
1,279,930	1,476,337
2,030,334	1,846,021

(b) Company

Bank loan:

Standard Chartered Bank Kenya Limited
Ecobank Kenya Limited
Chase Bank Kenya Limited

1,580,005	1,413,102
147,389	166,575
3,592	-
1,730,986	1,579,677

Comprising:

Non-current liability
Current liability

746,067	366,144
984,919	1,213,533
1,730,986	1,579,677

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

19. BANK LOANS & BORROWINGS (CONTINUED)

(c) Loan movement schedule

	Group 2014 KShs'000	Group 2013 KShs'000	Company 2014 KShs'000	Company 2013 KShs'000
Balance at 1 January	1,846,021	1,128,939	1,579,676	1,039,970
Received during the year	3,367,518	3,467,711	2,709,783	2,207,853
Repaid during the year	(3,183,205)	(2,750,629)	(2,558,473)	(1,668,147)
Balance at 31 December	2,030,334	1,846,021	1,730,986	1,579,676

Kenya:

The company entered into a facility arrangement with the banks and is secured over certain land and buildings for KShs 1,120 million (2013 - KShs 870 million) and debentures over all assets of the company for KShs 2.9 billion (2013 - KShs 2.35 billion). The bank facility comprises overdraft, term loan, letters of credit, bonds/guarantee and forex dealing.

Tanzania:

The subsidiary, East African Cables (Tanzania) Limited, has a bank overdraft for working capital management and a short term post-import financing loan with Standard Bank (Tanzania) Limited. The facility is charged against the leasehold land and moveable assets of the subsidiary. The subsidiary also has a long term facility of KShs 44 million equivalent with Kenya Commercial Bank Tanzania Limited for the purchase of machinery. The loan is secured by the machinery purchased.

20. RETIREMENT BENEFITS OBLIGATIONS

2014:

Group

Staff gratuity

Company

Staff gratuity

	Balance at 1/1/2014 KShs'000	Movement KShs'000	Balance at 31/12/2014 KShs'000
Group Staff gratuity	19,595	2,450	22,045
Company Staff gratuity	11,102	2,291	13,393

	Balance at 1/1/2013 KShs'000	Movement KShs'000	Balance at 31/12/2013 KShs'000
Group Staff gratuity	14,418	5,177	19,595
Company Staff gratuity	7,382	3,720	11,102

The Company operates a defined contribution retirement benefits scheme for its non-unionisable employees. The scheme is administered independently by Eagle Africa Insurance Brokers Limited and is funded by contributions from both the company and the employees. The scheme's funds are managed by ICEA Limited. During the year, the company expensed KShs 7,813,796 (2013 - KShs 5,686,193) in contributions payable. The group expensed KShs 14,721,340 (2013 - KShs 12,241,834).

The Company's staff affiliated with unions are eligible to a gratuity upon retirement based on 16 days pay if an employee has served 1-5 years, 20 days pay if an employee has served 6-10 years and 23 days pay if an employee has served 11 years and above. Gratuity is computed at current salary. A provision is made in the financial statements for the estimated liability of such gratuity payable.

The subsidiary, East African Cables (Tanzania) Limited, makes statutory contributions to the National Social Security Fund (NSSF) and the Parastatal Pension Fund (PPF). The subsidiary's obligations in respect of contributions to such funds are 15% of the employee basic salary in respect of PPF and 10% of the employee gross emoluments in respect of NSSF. Contributions to these pension funds are recognised as an expense in the period the employee renders the relative service.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

21. DEFERRED TAX LIABILITIES

(a) Group

Movements in the deferred tax liabilities during the year are as follows:

	Balance at 1 January KShs'000	Recognised through profit or loss KShs'000	Exchange difference KShs'000	Balance at 31 December KShs'000
2014:				
Staff gratuity provision	(5,419)	(1,252)	58	(6,613)
Other provisions and accruals	(109,715)	2,682	1,969	(105,064)
Tax loss	-	(15,658)	-	(15,658)
Property, plant and equipment	690,350	135,650	(8,147)	817,853
Revaluation of investment property	26,423	21,380	-	47,803
Unrealised exchange gain	5,701	(11,689)	(852)	(6,840)
	607,340	131,113	(6,972)	731,481
2013:				
Staff gratuity provision	(4,326)	(1,116)	23	(5,419)
Other provisions and accruals	(106,431)	(4,181)	897	(109,715)
Property, plant and equipment	709,639	10,876	(3,742)	716,773
Unrealised exchange gain	7,556	(1,568)	(287)	5,701
	606,438	(4,011)	(3,109)	607,340

(b) Company

Movements during the year are as follows:

	Balance at 1 January KShs'000	Recognised through profit or loss KShs'000	Balance at 31 December KShs'000
2014:			
Staff gratuity provision	(3,331)	(687)	(4,018)
Other provisions and accruals	(29,323)	(1,727)	(31,050)
Tax loss	-	(15,658)	(15,658)
Unrealised exchange gain	6,440	(11,693)	(5,253)
Property, plant and equipment	360,370	148,792	509,162
	334,156	119,027	453,183
2013:			
Staff gratuity provision	(2,215)	(1,116)	(3,331)
Other provisions and accruals	(23,522)	(5,801)	(29,323)
Unrealised exchange gain	8,008	(1,568)	6,440
Property, plant and equipment	340,192	20,178	360,370
	322,463	11,693	334,156

22. TRADE AND OTHER PAYABLES

Group

Trade payables
Due to fellow subsidiaries (Note 24 (d))
Other payables and accrued expenses

2014 KShs'000	2013 KShs'000
1,160,339	1,003,574
30,246	1,837
6,096	61,774
1,196,681	1,067,185

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

22. TRADE AND OTHER PAYABLES (CONTINUED)

Company

Trade payables

Other payables and accrued expenses

2014 KShs'000	2013 KShs'000
962,629	784,003
40,008	56,459
1,002,637	840,462

23. DIVIDEND PAYABLE

The movement in the dividend payable account is as follows:

	Group 2014 KShs'000	Group 2013 KShs'000	Company 2014 KShs'000	Company 2013 KShs'000
At beginning of year	101,250	32,015	101,250	32,015
Declared during the year	278,438	253,125	278,438	253,125
Paid during the year	(215,788)	(183,890)	(215,788)	(183,890)
At end of year	163,900	101,250	163,900	101,250

Included in dividend payable is KShs 86,535,575 (2013 – KShs 69,244,186) payable to related parties.

24. RELATED PARTY TRANSACTIONS

The following transactions were carried out with related parties:

(a) Directors and executives officers

The total remuneration of directors and executive officers is as follows:

	2014 KShs'000	2013 KShs'000
Directors – Fees	15,000	10,386
– Others	1,838	6,909
Senior Managements' remuneration	58,021	37,579
	74,859	54,874

(b) Amounts due from the directors

No amounts were due from the directors at close of the year.

The terms and conditions of the transactions with key management personnel were no more favourable than those available, or which might reasonably be expected to be available, on similar transactions to non-key management personnel related entities on an arm's length basis.

(c) Due from related parties

Group:

As at 31 December 2014, related parties owed the group KShs 44,748,000 (2013 – KShs 166,597,000).

Company:

The subsidiary, East African Cables (Tanzania) Limited owed the company KShs 473,681,000 as at 31 December 2014 (2013 – KShs 448,384,000).

Other related parties owed the company KShs 37,656,000 at the close of the year (2013 – KShs 166,597,000).

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

24. RELATED PARTY TRANSACTIONS (CONTINUED)

(d) Amounts due to related parties

As at 31 December 2014, the group and company owed other related parties KShs 30,246,000 (2013 – KShs 1,837,000).

All entities mentioned in (c) and (d) above have common ownership with the Group. None of the balances is secured.

All outstanding balances with these related parties are priced on an arm's length basis and on the same terms and conditions as those entered into by other Group employees or customers.

(e) Shareholders loan

	2014 KShs'000	2013 KShs'000
Current liability	326,152	-

The company received unsecured loan of USD 4 million from Trans-Century Limited with a tenor of 20 months from the drawdown date at an interest rate of 9% per annum.

25. NOTES TO THE STATEMENT OF CASH FLOWS

(a) Reconciliation of profit before tax to cash flow from operating activities

	2014 KShs'000	2013 KShs'000
Profit before tax	507,483	585,400
Adjustments for:		
Depreciation (Note 6)	176,253	159,247
Amortisation of prepaid operating lease (Note 6)	4,609	4,617
Amortisation of intangible assets (Note 6)	2,022	1,988
Property, plant and equipment write off	1,498	1,628
Fair value gain on investment property (Note 13)	(71,267)	-
Interest expense	30,412	42,264
Net foreign currency changes	10,312	4,379
Increase in provision for staff gratuity (Note 20)	2,450	5,177
Operating profit before working capital changes	663,772	804,700
(Increase)/decrease in inventories	(54,777)	107,324
Increase in trade and other receivables	(170,075)	(693,880)
Increase/(decrease) in trade and other payables	129,496	(368,793)
Cash generated from operations	568,416	(150,649)

(b) Cash and cash equivalents at 31 December

	2014 KShs'000	2013 KShs'000	Change in year KShs'000
Bank overdraft	(307,652)	(91,366)	(216,286)
Cash and bank balances	14,826	29,927	(15,101)
	(292,826)	(61,439)	(231,387)

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

26. CONTINGENT LIABILITIES

Claims have been made by certain former employees of the Group and Company resulting from termination of employment. However, in the opinion of the Directors, no significant liability is likely to crystallise. Furthermore, this cannot be currently established.

Guarantees with the bankers amounted to KShs 45,613,374 as at 31 December 2014 (2013 – KShs 22,075,611). Letters of credit amounted to KShs 1,066,939,244 as at 31 December 2014 (2013 – KShs 926,048,946) whose related liabilities have been accrued in the financial statements as appropriate for the supplies.

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

Overview

The Group has exposure to the following risks from its use of financial instruments:

- (a) Credit risk;
- (b) Liquidity risk; and
- (c) Market risk.

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital. Further quantitative disclosures are included throughout these consolidated financial statements.

The board of directors has overall responsibility for the establishment and oversight the Group's risk management framework. The finance department identifies, evaluates and addresses financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, and investing excess liquidity.

The Board of Directors oversees how management monitors compliance with the Company's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Company.

(a) Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's receivables from customers and investment securities.

Trade and other receivables

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. The demographics of the Company's customer base, including the default risk of the industry and country in which customers operate, has less of an influence on credit risk.

The Group has established a credit policy under which each new customer is analysed individually for creditworthiness before the Group's standard payment and delivery terms and conditions are offered. Customers that fail to meet the Group's benchmark creditworthiness may transact with the Group only on a prepayment basis.

The Group has a stringent debt provisioning policy that represents its estimate of incurred losses in respect of trade and other receivables and investments. The main component of this allowance specific loss component that relates to individually significant exposures.

The Group also manages the level of credit risk by focusing on customer satisfaction as a key performance indicator. It also maintains a short credit period. Due to the nature of the Group's activities, credit risk concentrations are high due to reliance on some customers and as such close monitoring of credit relationships is carried out.

The carrying amount of financial assets represents the maximum exposure to credit risk. The maximum exposure to credit risk at the reporting date was:

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(a) Credit risk (continued)

	Carrying amount 2014 KShs'000	Carrying amount 2013 KShs'000
Trade receivables	2,717,139	2,257,826
Due from related parties	44,748	166,597
Cash and cash equivalents	14,826	29,927
	2,776,713	2,454,350

Short term deposits

The Group limits its exposure to credit risk by only investing in short term deposits in money market.

Impairment losses

The aging of trade receivables at the reporting date was:

	Group 2014 KShs'000	Group 2013 KShs'000	Company 2014 KShs'000	Company 2013 KShs'000
Not past due	300,230	310,894	177,726	155,675
Past due 0-90 Days	894,432	791,088	685,531	565,607
Past due 90-365 Days	1,182,974	988,000	915,994	650,814
More than a year	477,917	325,100	93,065	227,985
Gross trade receivables	2,855,553	2,415,082	1,872,316	1,600,081
Allowance for impairment	(138,414)	(157,256)	(65,610)	(74,925)
Net trade receivables	2,717,139	2,257,826	1,806,706	1,525,156

Based on historic default rates, the Group believes that, apart from the above, no impairment allowance is necessary in respect of trade receivables not past due or past due by up to 60 days as it relates to customers that have a good payment record with the Group.

The movement in the allowance for impairment in respect of trade receivables during the year was as follows:

	Group 2014 KShs'000	Group 2013 KShs'000	Company 2014 KShs'000	Company 2013 KShs'000
Balance at 1 January	157,256	145,397	74,925	51,314
Net impairment (gain)/loss recognised	(16,839)	11,245	(9,315)	23,611
Exchange differences	(2,003)	614	-	-
Balance at 31 December	138,414	157,256	65,610	74,925

(b) Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

Typically the Group ensures that it has sufficient cash on demand to meet expected operational expenses for a period of 60 days, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(b) Liquidity risk (continued)

The maturities of the Group's financial liabilities are shown below:

	Due within 3 months KShs'000	Due between 3- 12 months KShs'000	Due between 1-5 years KShs'000	Due after 5 years KShs'000	Total KShs'000
31 December 2014:					
Financial liabilities					
Bank overdraft	(307,652)	-	-	-	(307,652)
Loans and borrowings	(1,050,077)	(468,303)	(511,954)	-	(2,030,334)
Trade payables	(1,160,339)	-	-	-	(1,160,339)
At 31 December 2014	(2,518,068)	(468,303)	(511,954)	-	(3,498,325)
31 December 2013:					
Financial liabilities					
Bank overdraft	(91,366)	-	-	-	(91,366)
Loans and borrowings	(590,332)	(886,005)	(369,684)	-	(1,846,021)
Trade payables	(1,003,574)	-	-	-	(1,003,574)
At 31 December 2013	(1,685,272)	(886,005)	(369,684)	-	(2,940,961)

In addition, the Group maintains the following lines of credit:

- KShs 100 million overdraft facility that is secured. Interest is payable at the rate of 8% (2013 – KShs 100 million at an average rate of 8% p.a.)
- KShs 2,200 million (2013 - KShs 1,700 million) letter of credit facility for importation of raw materials

(c) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates and interest rates will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

(i) Interest rate risk

The Group's operations are subject to the risk of interest rate fluctuations to the extent that interest earning assets (including investments) and interest bearing liabilities mature or reprice at different times or in differing amounts. Risk management activities are aimed at optimizing net interest income, given market interest rates levels consistent with the company's business strategies. The company does not have any significant interest rate risk exposures.

The table below summarises the exposure to interest rate risks. Included in the table below are the Group's assets and liabilities at carrying amounts, categorized by the earlier of contractual reprising or maturity dates:

	Average effective interest rate	Due within 3 months KShs '000	Due between 3 and 12 months KShs '000	Due between 1 and 5 years KShs '000	Non interest bearing KShs '000	Total KShs'000
At 31 December 2014						
Bank overdraft	8%	(307,652)	-	-	-	(307,652)
Bank loans and borrowings	14%	(1,050,077)	(468,303)	(511,954)	-	(2,030,334)

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(c) Market risk (continued)

(i) Interest rate risk (continued)

	Average effective interest rate KShs'000	Due within 3 months KShs'000	Due between 3 and 12 months KShs'000	Due between 1 and 5 years KShs'000	Non interest bearing KShs'000	Total KShs'000
On statement of financial position interest sensitivity gap		(1,357,729)	(468,303)	(511,954)	-	(2,337,986)
At 31 December 2013						
Bank overdraft	8.00%	(91,366)	-	-	-	(91,366)
Bank loans and borrowings	14.00%	(590,332)	(886,005)	(369,684)	-	(1,846,021)
On statement of financial position interest sensitivity gap		(681,698)	(886,005)	(369,684)	-	(1,937,387)

(ii) Currency risk

The company is exposed to currency risk through transactions in foreign currencies. Foreign currency gains and losses are recognised in profit or loss.

In respect of monetary assets and liabilities in foreign currencies, the company ensures that its net exposure is kept to an acceptable level by buying foreign currencies at spot rates to enable the company to meet its obligations.

The Group's exposure to currency risk mainly arises from transactions denominated in US Dollar.

The Group's exposure to foreign currency risk was as follows based on notional amounts in US dollars:

	Group 2014 KShs'000	Group 2013 KShs'000	Company 2014 KShs'000	Company 2013 KShs'000
Financial assets				
Cash and cash equivalents	4,351	4,709	4,142	4,469
Trade receivables	952,425	476,380	738,535	476,380
Financial liabilities				
Shareholders loan	(326,152)	-	(326,152)	-
Bank overdraft	(118,899)	(78,587)	(101,094)	(57,868)
Bank loan	(988,257)	(766,773)	(984,919)	(752,615)
Trade payables	(912,203)	(905,337)	(732,359)	(673,174)
Net exposure	(1,388,735)	(1,269,608)	(1,401,847)	(1,002,808)

The following significant exchange rates applied during the year:

	Closing rate 2014 KShs	Closing rate 2013 KShs	Average rate 2014 KShs	Average rate 2013 KShs
USD	90.60	86.31	88.03	86.21

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

(c) Market risk (continued)

(ii) Currency risk (continued)

Sensitivity analysis

A 10 percent strengthening/weakening of the Kenya shilling against the following currencies would have increased profit or loss by amounts shown below. This analysis assumes that all other variables, in particular interest rates, remain constant. The analysis is performed on the same basis for 2013:

At 31 December 2014:

USD

At 31 December 2013:

USD

Profit or loss
KShs'000

138,874

126,960

(d) Capital risk management

The group's objectives when managing capital are to safeguard the group's ability to continue as a going concern in order to provide returns for shareholders and the benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of capital.

The Board's policy is to maintain a strong capital base so as to maintain creditor and market confidence and to sustain future development of the business. The Board of Directors monitors the return on capital and the level of dividend payout to its shareholders.

The group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including current and non-current borrowings) less cash and cash equivalents. Total capital is calculated as equity as shown in the consolidated statement of financial position plus net debt. The gearing ratio at end of the reporting period was as follows:

	Group 2014 KShs'000	Group 2013 KShs'000	Company 2014 KShs'000	Company 2013 KShs'000
Borrowings				
Bank loans	2,030,334	1,846,021	1,730,986	1,579,677
Bank overdraft	307,652	91,366	289,847	70,648
Cash and bank balances	(14,826)	(29,927)	(5,313)	(24,227)
Net debt	2,323,160	1,907,460	2,015,520	1,626,098
Total equity	3,091,877	3,066,538	1,894,042	1,919,791
Gearing ratio	75%	62%	106%	85%

The group has consistently maintained a strong credit rating of BBB+ on long-term borrowing and A2 on short term borrowing.

28. CAPITAL COMMITMENTS

Authorised and contracted for

2014
KShs '000

227,000

2013
KShs '000

540,000

29. ULTIMATE HOLDING COMPANY

The ultimate holding company is Trans-Century Limited, a company incorporated in Kenya.

NOTES TO FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2014

30. SEGMENTAL REPORTING

Management has determined the operating segments based on the reports reviewed by the Strategy committee. The committee considers the business from a geographical perspective. This committee has the primary responsibility of overseeing implementation of strategic decisions of the board including product and geographical diversification. Geographically, management considers the performance of the business in Kenya, Uganda and Tanzania. The reportable operating segments derive their revenues primarily from manufacture and sale of electric cables, conductors and traded products. The Strategy committee assesses the performance of the operating segments on a measure of profit before tax.

	Kenya & Uganda			Tanzania		Consolidated
	2014	2013		2014	2013	2013
	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000
External sales	3,913,684	3,448,854	1,325,701	1,343,877	5,239,582	4,792,731
Inter-segment sales	(140,968)	(289,767)	-	-	(140,968)	(289,767)
Total sales	3,772,716	3,159,087	1,325,701	1,343,877	5,098,417	4,502,964
Segment profit from operations	429,002	429,741	148,155	166,203	577,157	595,944
Net finance income/(costs)	(54,092)	12,498	(15,582)	(23,042)	(69,674)	(10,544)
Profit before tax	374,910	442,239	132,573	143,161	507,483	585,400
Other information:						
Segment assets	5,874,140	4,857,086	2,561,432	2,500,673	7,889,496	6,809,265
Segment liabilities	3,980,098	2,937,295	1,296,751	1,296,825	4,797,619	3,742,727
Capital expenditure	953,772	163,909	9,017	25,147	962,789	189,056
Depreciation expense & amortisation	124,465	108,767	57,581	56,236	176,253	165,852

Segment capital expenditure is the total cost incurred during the period to acquire segment assets that are expected to be used for more than one period. Segment revenue is based on the geographical location of both customers and assets. Sales between segments are carried out at arm's length. The revenue from external parties reported to the

Strategy committee is measured in a manner consistent with that in the income statement. There is no reliance on individually significant customers by the group. The amounts provided to the Strategy committee in respect of total assets and total liabilities are measured in a manner consistent with that of the financial statements.

COMPANY STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 DECEMBER 2014

	2014 KShs'000	2013 KShs'000
Revenue	3,913,684	3,448,854
Cost of sales	(2,916,065)	(2,453,626)
Gross profit	997,619	995,228
Other income	8,518	4,240
Factory expenses	(142,987)	(148,199)
Administrative expenses	(185,927)	(173,659)
Distribution costs	(123,756)	(139,102)
Profit before depreciation and finance costs	553,467	538,508
Depreciation and amortisation	(124,465)	(108,767)
Results from operating activities	429,002	429,741
Finance income	10,392	41,076
Finance cost	(64,484)	(28,578)
Net finance cost	(54,092)	12,498
Profit before income tax	374,910	442,239
Income tax expense	(123,070)	(138,376)
Profit for the year	251,840	303,863
Other comprehensive income		
Items that will never be reclassified to profit or loss	-	-
Items that are or may be reclassified to profit or loss		
Foreign currency translation on foreign operations	849	(863)
Total other comprehensive income	849	(863)
Total comprehensive income for the year	252,689	303,000

5 YEAR FINANCIAL RECORD

	2010 Consolidated KShs'000	2011 Consolidated KShs'000	2012 Consolidated KShs'000	2013 Consolidated KShs'000	2014 Consolidated KShs'000
STATEMENT OF COMPREHENSIVE INCOME SUMMARY					
Sales	3,604,366	4,971,665	4,300,608	4,502,964	5,098,417
Profit before tax	258,645	464,756	753,243	585,400	507,483
Tax	(74,795)	(150,026)	(231,183)	(187,198)	(166,334)
Profit after tax	183,850	314,730	522,060	398,202	341,149
Non-controlling interest	42,361	(23,166)	(81,328)	(51,787)	(46,578)
Profit attributable to parent company shareholders	226,211	291,564	440,732	346,415	294,571
Dividends	(202,500)	(202,500)	(253,125)	(253,125)	(253,125)
Retained profit	23,711	89,064	187,607	93,290	41,446
Earnings per share (KShs)					
- Restated	0.89	1.15	1.74	1.37	1.16
Dividend per share (KShs)	1.00	0.80	1.00	1.00	1.00
STATEMENT OF FINANCIAL POSITION					
Non-current assets	2,722,759	2,585,528	3,217,203	3,226,081	4,042,701
Current assets	1,795,686	2,407,504	3,031,439	3,583,184	3,846,795
TOTAL ASSETS	4,518,445	4,993,032	6,248,642	6,809,265	7,889,496
Equity and liabilities					
Share capital	101,250	126,563	126,563	126,563	126,563
Reserves	1,758,041	1,745,854	2,214,685	2,307,975	2,324,108
Exchange differences	(22,885)	(23,576)	(18,533)	(22,101)	(35,066)
Non-controlling interest	409,903	424,991	602,314	654,101	676,272
Total equity	2,246,309	2,273,832	2,925,029	3,066,538	3,091,877
Non-current liabilities	872,774	644,888	791,387	1,111,573	1,503,930
Current liabilities	1,399,362	2,074,312	2,532,226	2,631,154	3,293,689
TOTAL EQUITY AND LIABILITIES	4,518,445	4,993,032	6,248,642	6,809,265	7,889,496

NOTES

[illegible]

PROXY FORM

TO:
The Company Secretary
East African Cables Limited
P. O. Box 40111 – 00100, GPO
Nairobi, Kenya

I/We _____

of _____

Being a member (s) of East African Ltd, hereby appoint

of _____

or failing him/her _____

of _____

To vote for me/us/on my/our behalf at the 50th Annual General Meeting of the said company to be held at 11:00 a.m. on Thursday 30 April 2015 and at the adjournment thereof:

Signed this _____ day of _____ 2015.

Signature (s) _____

Note: In the case of a Corporation, the proxy must be executed under the Common Seal or under the hands of an officer or Attorney duly authorised in writing.

HATI YA UWAKILISHI

Mimi/Sisi _____

wa _____

Nikiwa/tukiwa/(m)wanachama wa Kampuni ya East African Cables Ltd., namchagua/tunamchagua

_____ wa _____

au akikosa yeye/wakikosa wao _____

Kupiga kura kwa niaba yangu/yetu katika mkutano mkuu wa mwaka wa 50 wa kampuni hii, utakaofanyika saa tano asubuhi Alhamisi Aprili 30, 2015 ama siku nyingine ikiwa mkutano utaahirishwa.

Hati hii imetolewa tarehe _____ mwezi wa _____ 2015.

Sahihi _____

Muhimu: Ikiwa ni kampuni inayowakilishwa, hati hii ni lazima iwekwe muhuri maalumu au itiwe sahihi na afisa au wakili aliyeidhinishwa kisheria na kampuni hiyo.

KENYA, NAIROBI

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